AUDITED FINANCIAL STATEMENTS - FISCAL YEAR 2023
REPORT OF INDEPENDENT AUDITORS

To the Board of Directors and Stockholders of the Company: We have audited the accompanying consolidated financial statements of the Company and its subsidiaries, which comprise the consolidated balance sheet as of December 31, 2023, and the related consolidated statements of operations, comprehensive income, changes in stockholders' equity and cash flows for the year ended December 31, 2023, and the related notes to the consolidated financial statements (collectively, the "financial statements").

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Company as of December 31, 2023, and the results of its operations and its cash flows for the year ended December 31, 2023, in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinion. We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements. Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements. Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we exercised professional judgment and maintained professional skepticism throughout the audit. We also: identified and assessed the risks of material misstatement of the financial statements, whether due to fraud or error, and designed and performed audit procedures responsive to those risks, obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control, evaluated the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, and evaluated the overall presentation, structure, and content of the financial statements.

We are required to communicate with those charged with the Company's governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and, where applicable, related safeguards.

Critical Audit Matter. The critical audit matter communicated below is a matter arising from the current-period audit of the financial statements that was communicated or required to be communicated to the audit committee and that: (1) relates to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective, or complex judgments. The communication of the critical audit matter does not alter in any way our opinion on the financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing a separate opinion on this matter. The accounting for the june 2023 debt refinancing is a critical audit matter because it required especially subjective and complex auditor judgment in evaluating management's estimates and the disclosures made in the notes to the financial statements.

How the Critical Audit Matter Was Addressed in the Audit. Our audit procedures related to the Refinancing included, among others: reading the indenture governing the Senior Notes, the Credit Agreement governing the revolving facility, and the officers' certificates delivered at closing; recalculating the allocation of debt issuance costs between the two instruments and the resulting effective interest rate for each; testing the extinguishment accounting applied to the credit facility replaced in the Refinancing, including management's identification of lenders that continued in the new facility on substantially different terms; and confirming the principal amounts, stated rates, and maturity dates directly with the trustee and the administrative agent.

Emphasis of Matter and Auditor Tenure. As discussed in Note 9, the Company is a party to certain legal proceedings and other contingencies arising in the ordinary course of business, the ultimate outcome of which cannot presently be determined. Our opinion is not modified with respect to this matter.

We have served as the Company's auditor since the Refinancing described in Note 6, and this report is intended solely for the information and use of the Board of Directors, management, the holders of the Senior Notes, the lenders and administrative agent under the Credit Agreement, and the trustee under the indenture governing the Senior Notes, and is not intended to be, and should not be, used by anyone other than these specified parties.

Our opinion covers the fiscal year presented in these financial statements only. Because we were appointed as the Company's auditor concurrently with the Refinancing described in Note 6, these are the first financial statements of the Company we have audited; the comparative prior-year financial statements referred to elsewhere in the Company's records, which reflect the credit facility replaced in the Refinancing, were audited by a predecessor auditor, and our opinion does not extend to that prior period.

Report on Other Legal and Regulatory Requirements. We have no responsibility to update this report for events and circumstances occurring after the date of this report, other than as required by the auditing standards referenced above. The Company is not required by law or regulation to file these financial statements with the Securities and Exchange Commission or with any other securities regulator, and our report is accordingly not prepared for filing with, and is not intended to satisfy the requirements of, any such regulator; it is prepared solely to satisfy the reporting covenants of the indenture governing the Senior Notes described in Note 6 and, by cross-reference, the Credit Agreement.

Basis for the Determination of Materiality. In planning and performing our audit, we applied the concept of materiality in accordance with the auditing standards referenced above, under which misstatements, including omissions, are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user of these financial statements, including a holder of the Senior Notes or a lender under the Credit Agreement, based on the financial statements. We used this materiality determination, together with our assessment of the risks of material misstatement, to determine the nature, timing, and extent of our audit procedures and to evaluate the effect, individually and in the aggregate, of misstatements, if any, identified during our audit on the financial statements as a whole.

DESCRIPTION OF BUSINESS AND ORGANIZATION

The Company is a privately held industrial manufacturer, controlled by a private equity sponsor, engaged principally in the manufacture and sale of its core product lines to industrial and commercial customers throughout the United States. The Company operates a primary manufacturing facility together with ancillary distribution and warehousing locations, and conducts its business as a single operating unit for purposes of internal management reporting and resource allocation, as described further in Note 12.

The Company's common equity is held by investment vehicles controlled by its sponsor and by members of Company management; the Company has no publicly traded common stock and is not required to, and does not, present earnings per share information in these financial statements. The Company's outstanding Senior Notes, described in Note 6, are the Company's only security registered for resale under an exemption from the registration requirements of the Securities Act of 1933, and the Company files periodic financial and operating reports with the trustee under the indenture governing the Senior Notes pursuant to the reporting covenants of that indenture, but is not an SEC-reporting company.

These financial statements present the Company's financial position as of December 31, 2023 and its results of operations and cash flows for the year ended December 31, 2023. Unless the context otherwise requires, references in these notes to 'the Company' mean the Company and its consolidated subsidiaries, taken as a whole.

Facilities and Employees

The Company owns its primary manufacturing facility and leases its distribution and warehouse locations and its corporate office space under the arrangements described in Note 7. The Company employs a workforce of hourly production and maintenance personnel at its manufacturing facility and salaried personnel in sales, engineering, finance, and general administrative functions; none of the Company's employees are represented by a labor union, and the Company considers its relations with its employees to be good.

The Company's corporate headquarters and administrative functions are co-located with its primary manufacturing facility. The Company's real property, whether owned or leased, is, in management's opinion, in good operating condition and adequate for the Company's operations as conducted during fiscal 2023.

History and Ownership

The Company's controlling equity sponsor acquired its controlling interest in the Company prior to the periods covered by these financial statements. The Refinancing described in Note 6, completed during the current fiscal year, refinanced the credit facility that had been in place since the sponsor's acquisition of its controlling interest and did not itself involve any change in the identity of the Company's controlling equity holder.

Basis of Reporting to Noteholders

In addition to delivering these audited annual financial statements to the trustee under the indenture governing the Senior Notes, the Company furnishes unaudited quarterly financial information to the trustee and, through the trustee, to holders of the Senior Notes, consistent with the reporting covenants of the indenture. The quarterly information furnished under that covenant is prepared on a basis consistent with these annual financial statements, but is not audited or reviewed by the Company's independent auditors.

The Company also furnishes an annual compliance certificate to the administrative agent under the Credit Agreement, and periodic compliance certificates to the trustee under the indenture, each computing the Company's

compliance with the financial covenants applicable to the relevant instrument; those compliance certificates are prepared by management using the defined terms of the relevant governing document, are not audited or reviewed by the Company's independent auditors, and are not part of, or incorporated by reference into, these financial statements.

Industry and Competitive Environment

The Company competes with a number of other manufacturers, ranging from large diversified industrial companies to smaller regional competitors, on the basis of product quality, price, delivery performance, and customer service. The Company's principal raw materials are sourced from a number of suppliers, and management does not consider the Company to be dependent on any single supplier for a material portion of its raw material requirements. Demand for the Company's products is influenced by broader industrial production trends and by the capital spending plans of the Company's customer base.

The Company does not hold any patent, trademark, or other intellectual property right that management considers material to the Company's ability to conduct its business, other than the trade names described in Note 5, and does not depend on any single customer contract, other than as described in Note 2 and Note 12, for a material portion of its fiscal 2023 revenue.

Products and Manufacturing Process

The Company designs and manufactures its core product lines using a combination of automated and manually operated production equipment at its primary manufacturing facility, employing a batch-and-finish production process that begins with the raw materials described in Note 3 and proceeds through fabrication, assembly, and quality inspection before finished goods are released to inventory for shipment. The Company's engineering function maintains the specifications and quality standards applicable to each product line, and periodically reviews those specifications for opportunities to improve manufacturing efficiency or product performance; no change made during fiscal 2023 was significant enough to require a change in the useful-life or depreciation-method judgments described in Note 4.

Customers and Distribution

The Company's customer base consists principally of industrial and commercial end users that purchase the Company's products for use in their own operations, together with the independent distributor network described in Note 2. The Company's sales function is organized regionally within the United States, consistent with the geographic information presented in Note 12, and the Company does not maintain a separate export sales function, consistent with the immaterial level of revenue generated outside the United States disclosed in that Note.

Seasonality and Cyclicality of Demand

Demand for the Company's products correlates with broader industrial production activity and with the capital spending plans of the Company's customer base, both of which can be cyclical; the Company's own revenue also exhibits the modest within-year seasonal pattern described in Note 15. Management considers both effects, together with the customer concentration discussed in Note 2 and Note 12, in preparing the operating budget referenced in Note 12's discussion of resource allocation for fiscal 2023.

Regulatory Environment Applicable to the Company's Operations

The Company's operations are subject to the environmental, health and safety regulatory framework described in Note 19, general product safety and product liability standards applicable to industrial manufacturers, and, with respect to the Industrial Revenue Bonds described in Note 6, the continuing disclosure obligations administered through the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system. The Company is not subject to a specialized industry regulatory regime, such as those applicable to financial institutions or public utilities, beyond the generally applicable frameworks described above.

Governmental and Trade Association Relationships

The Company is a member of one or more trade associations representing manufacturers in its industry, through which management monitors proposed regulatory and legislative developments relevant to the Company's operations, and participates from time to time in industry benchmarking surveys of the type referenced in Note 19's discussion of safety performance metrics. The Company's participation in these trade associations did not change materially during fiscal 2023.

Research, Development and Engineering

The Company maintains an engineering function, referenced in the Products and Manufacturing Process section above, that is responsible for product specification, quality standards, and continuous improvement of the Company's manufacturing process, together with the engineering support for the capacity-expansion program described in Note 4. The Company does not operate a separately budgeted, discrete research and development function of the type that would be separately disclosed under ASC 730, Research and Development, and the costs of the Company's engineering function are included within cost of goods sold and selling, general and administrative expense based on the nature of the work performed, consistent with the Company's expense classification policy described elsewhere in these notes.

Quality Assurance and Certifications

The Company maintains a quality management system applicable to its manufacturing operations, consistent with the quality standards described in the engineering function's role above, and holds the third-party quality management system certification customary for manufacturers serving the Company's industrial and commercial customer base.

The Company's quality management system is subject to periodic surveillance audits by the certifying body, and the Company maintained its certification in good standing throughout fiscal 2023, without a finding that required a material corrective action.

Properties Not Otherwise Described

In addition to the primary manufacturing facility and the leased distribution, warehouse, and corporate office locations described above and in Note 7, the Company does not own or lease a material property not otherwise described in these financial statements, and does not lease or own property outside the United States, consistent with the geographic information presented in Note 12. Management believes the Company's properties, taken as a whole, are suitable and adequate for the Company's current operations and for the near-term operations contemplated by the capacity-expansion program described in Note 4.

Insurance Program Overview

The Company's overall insurance program, described further in Note 9, combines commercially placed coverage for property, general liability, product liability, and directors' and officers' liability risk with self-insured retentions for workers' compensation and a portion of employee group health risk, structured to balance the cost of commercially placed premium against the Company's own risk tolerance for predictable, lower-severity losses. Management reviews the overall insurance program, including the allocation between commercially placed coverage and self-insurance, at each policy renewal, and did not make a material change to that allocation during fiscal 2023.

Information Technology Infrastructure

The Company's information technology infrastructure supports the manufacturing operations, order processing, and financial reporting functions referenced in Note 18's discussion of information systems and cybersecurity risk, and is operated by a combination of Company personnel and third-party service providers, including the plan recordkeeper described in Note 11 and the pricing service described in Note 13. The Company periodically evaluates its information technology infrastructure for capacity and resilience relative to the Company's operational needs, including the needs of the capacity added under the program described in Note 4, and did not identify a material infrastructure gap during fiscal 2023.

The following excerpts present the line items from the Company's consolidated financial statements that are most directly relevant to the notes that follow. They are excerpts, not the full financial statements, and are presented here for the reader's convenience; the full consolidated financial statements, including all line items not reproduced below, are available from the Company on request by any person entitled to receive them under the reporting covenants of the indenture governing the Senior Notes described in Note 6.

CONSOLIDATED STATEMENT OF OPERATIONS (EXCERPT)

Line item	Fiscal Year 2023
Consolidated Net Income	8,059,000.00
Add: Provision for income taxes	2,658,000.00
Add: Consolidated Interest Expense	13,460,000.00
Add: Depreciation and amortization expense	8,831,000.00

The line items above are presented on the same basis as, and are the direct GAAP inputs to, the Credit Agreement's Consolidated EBITDA definition (Article I, clause preceding the addback list); this statement does not itself compute Consolidated EBITDA, which is a defined term of the Credit Agreement, not of these financial statements. Consistent with that definition's own starting point, Consolidated Net Income increased by the three addback lines above sums to a GAAP EBITDA measure of 33,008,000.00 for fiscal year 2023, before any of the further addbacks the Credit Agreement's definition separately permits.

A reader building a three-fiscal-year trend of the GAAP inputs to Consolidated EBITDA - the exercise this excerpt exists to support - draws the fiscal 2023 row of that trend from the Income Statement (three-year EBITDA-build trend, FY2023 comparative) presented immediately above, together with the corresponding excerpt in the Company's financial statements for each of the other two fiscal years; no single fiscal year's excerpt, on its own, presents the full three-year trend.

CONSOLIDATED BALANCE SHEET (EXCERPT)

Assets	Fiscal Year 2023
Cash and cash equivalents	8,395,000.00
Trade accounts receivable, net of allowance for credit losses	12,684,000.00
Inventory, net	8,764,000.00
Prepaid expenses and other current assets	2,786,000.00
Total current assets	32,629,000.00
Property, plant and equipment, net	35,580,000.00
Operating lease right-of-use assets	6,725,000.00
Goodwill	17,224,000.00
Intangible assets, net	7,382,000.00
Investments	9,516,000.00
Other noncurrent assets	213,711,000.00
Total assets	322,767,000.00

Liabilities and Stockholders' Equity	Fiscal Year 2023
Accounts payable and accrued liabilities	13,941,000.00
Current portion of operating lease liabilities	1,649,000.00
Accrued interest payable	1,211,000.00
Total current liabilities	16,801,000.00
Senior Notes, net of unamortized debt issuance costs	173,207,000.00
Revolving credit facility	12,000,000.00
Industrial Revenue Bonds	24,500,000.00
Noncurrent operating lease liabilities	4,695,000.00
Deferred tax liability, net	5,830,000.00
Total liabilities	237,033,000.00
Total stockholders' equity	85,734,000.00
Total liabilities and stockholders' equity	322,767,000.00

Similarly, the current-asset and current-liability lines of the Balance Sheet (three-year working-capital trend, FY2023 comparative) set out above are one fiscal year of the working-capital trend a reader would assemble across the Company's audited balance sheets for each of the three fiscal years presented in these financial statements and the two preceding sets of audited financial statements, in order to evaluate the trajectory of the components that ultimately feed the working-capital adjustment mechanics described elsewhere in the corpus.

CONSOLIDATED STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY (EXCERPT)

Roll-forward of stockholders' equity	Fiscal Year 2023
Balance, beginning of year	79,383,000.00
Consolidated Net Income for the year	8,059,000.00
Other comprehensive income (loss), net of tax	(472,000.00)
Distributions to the controlling equity sponsor	1,236,000.00
Balance, end of year	85,734,000.00

CONSOLIDATED STATEMENT OF CASH FLOWS (EXCERPT)

Summary of cash flow activity	Fiscal Year 2023
Net cash provided by operating activities	18,579,000.00
Net cash used in investing activities	(10,674,000.00)
Net cash provided by (used in) financing activities	(7,283,000.00)
Net increase (decrease) in cash and cash equivalents	622,000.00

The full consolidated balance sheet, statement of changes in stockholders' equity, and statement of cash flows, of which the excerpts above present only the line items most relevant to the notes that follow, are presented in their entirety elsewhere in the complete set of financial statements from which this excerpt is drawn. Outstanding indebtedness as of period end, presented in full in Note 6 below, comprised the Senior Notes, borrowings under the revolving Credit Agreement, and the Industrial Revenue Bonds described in that note; the Company's cash flows from financing activities for the year reflect scheduled and voluntary debt service on those instruments, together with any distributions to the Company's controlling equity sponsor described in Note 10.

A reader of the excerpts above should note that they present only the line items management believes are most directly relevant to the notes that follow, and are not a substitute for the Company's complete consolidated financial statements for fiscal 2023, which present each statement in full, including line items not reproduced above, together with the comparative prior-year amounts the Company's complete financial statements present alongside the current year on the face of each primary statement, consistent with GAAP's general requirement to present comparative financial statements where practicable.

The order in which the notes that follow are presented - beginning with the significant accounting policies described in Note 1 and proceeding through the balance-sheet-oriented notes, the notes relating to the Company's indebtedness and liquidity, and the notes addressing matters not directly tied to a single balance sheet or income statement line item - follows the order customary for a privately held company's audited financial statements of this type, and is consistent across each of the fiscal years presented in these financial statements and in the Company's financial statements for the other fiscal years referenced throughout these notes.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

The accompanying consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ('GAAP') and present the financial position of the Company and its wholly owned subsidiaries as of December 31, 2023, and the results of their operations and their cash flows for the year then ended. All intercompany balances and transactions have been eliminated in consolidation. The Company's fiscal year is the calendar year, and references in these notes to 'the year' or 'fiscal 2023' mean the twelve months ended December 31, 2023 unless otherwise stated.

Principles of Consolidation

Consolidation follows the controlling-financial-interest model: every entity in which the Company holds, whether by direct or indirect ownership, a controlling financial interest is included in these consolidated financial statements, and

the accounts of the Company's subsidiaries are combined accordingly. No variable interest entity required consolidation during the year, and no consolidated subsidiary carried a noncontrolling interest at any point during the period.

Use of Estimates

GAAP requires management to make estimates and assumptions in preparing these financial statements, and those estimates and assumptions affect reported asset and liability amounts, contingent-asset and contingent-liability disclosures as of the balance sheet date, and reported revenue and expense amounts for the reporting period. Five areas in particular drive this year's most significant estimates: the credit-loss allowance, inventory valuation, the useful life and recoverability assessment applied to long-lived assets, goodwill and intangible-asset recoverability, and the contingent liabilities Note 9 describes. Because actual results can differ materially from any of these estimates, management revisits each of them on an ongoing basis in light of historical experience and other reasonably available information about future events; Note 17 discusses the most significant of them in additional detail.

Cash and Cash Equivalents

Highly liquid investments with an original maturity of three months or less are classified as cash equivalents and carried at cost, a convention that approximates fair value given how short-dated these instruments are. Some of the balances the Company keeps at its depository institutions periodically exceed the applicable federal deposit insurance limit; management has never experienced a loss connected to those balances and, apart from the concentration matters addressed in the Concentration of Credit Risk section below, does not regard this as a source of significant credit exposure. As of December 31, 2023, the Company held no cash that was restricted as to use.

Accounts Receivable and Allowance for Credit Losses

For every period these financial statements present, the Company applies Accounting Standards Codification Topic 326, Financial Instruments - Credit Losses (the current expected credit loss model, or 'CECL'), consistent with the mandatory effective date applicable to an entity that does not qualify as a smaller reporting company under SEC rules. The resulting allowance for credit losses on trade accounts receivable is re-estimated at each reporting date from historical collection experience, current economic conditions, and reasonable and supportable forecasts, a forward-looking approach that does not wait for a loss to become probable before recognizing it. That allowance is netted against the receivable balance's amortized cost basis to arrive at the amount the Company expects to collect, and a specific receivable is written off against the allowance once collection efforts on it have been exhausted and it is judged uncollectible.

Inventory

Cost or net realizable value, whichever is lower, is the Company's inventory measurement basis, with cost determined principally by the first-in, first-out convention. Net realizable value in turn means the estimated ordinary-course selling price, reduced by the reasonably predictable costs still needed to complete, dispose of, and transport the goods. Note 3 sets out the inventory composition and reserve detail underlying this policy.

Property, Plant and Equipment

Cost, net of accumulated depreciation, is how the Company carries property, plant and equipment, with depreciation computed on a straight-line basis across each asset class's estimated useful life. Routine maintenance and repair spending is expensed as incurred; by contrast, spending on a major renewal or betterment that extends an asset's useful life is capitalized rather than expensed. Note 4 provides the supporting detail.

Business Combinations

The Company accounts for business combinations under the acquisition method prescribed by ASC 805, Business Combinations, under which identifiable assets acquired and liabilities assumed are recognized at their acquisition-date fair values, and any excess of the consideration transferred over those net assets is recognized as goodwill. The Company did not complete any business combination during fiscal 2023; the goodwill and intangible assets described in Note 5 arose from business combinations completed in periods prior to those presented in these financial statements.

Goodwill and Intangible Assets

Rather than being amortized, goodwill is tested for impairment no less often than annually, as of the Company's own designated testing date, with an additional interim test triggered whenever an event or changed circumstance suggests a reporting unit's carrying amount might exceed its fair value. Finite-lived intangible assets follow a different convention - straight-line amortization over each asset's estimated useful life - but share the same trigger-based impairment review whenever a change in facts suggests the carrying amount may no longer be recoverable. Note 5 has the supporting detail.

Investments

Corporate and municipal debt securities make up the Company's investment portfolio, carried under GAAP with any unrealized holding gain or loss recognized in the manner the applicable measurement category calls for. At each reporting date, the Company runs its debt securities through the Topic 326 impairment model to identify credit losses; a credit-loss component identified this way flows through earnings, while whatever non-credit component remains is recognized however the security's own measurement category otherwise requires. The most recently issued annual financial statements' notes identify which measurement category applies to each class of debt security and set out the resulting fair-value and credit-loss detail.

Concentration of Credit Risk
Cash and cash equivalents, the investment portfolio just described, and trade accounts receivable are the principal financial instruments that expose the Company to concentrations of credit risk. The depository institutions holding the Company's cash are ones management regards as high credit quality, and the Company's investment policy caps the credit exposure the portfolio may carry to any one issuer or counterparty. Note 2 addresses the customer-concentration side of this risk, covering trade accounts receivable and the Company's customer base more broadly.

Advertising Costs
As incurred, advertising and promotional spending is expensed and folded into selling, general and administrative expense rather than capitalized or deferred. Management did not regard this spending as material to the year's results of operations, and the refinancing activity described in Note 6 did not change how the policy is applied.

Environmental Remediation Costs
ASC 410-30 governs when the Company accrues environmental remediation-related costs: once such a cost becomes probable and can be reasonably estimated. The estimate underlying any such accrual, were one required, would draw on currently available information, existing remediation technology, and laws and regulations presently in force, and would be revised as more information becomes available. The Company's environmental matters, if any arose during the year, are covered in full in Note 9.

Product Warranty
A liability for the estimated cost of any product warranty the Company offers is recorded at the point revenue on the underlying sale is recognized, sized from historical warranty-claim experience. If actual claim experience later departs from what that historical estimate assumed, the warranty liability is adjusted to reflect the difference.

Revenue Recognition
Revenue is recognized once control of a promised good or service has passed to the customer, at the amount of consideration the Company expects to be entitled to in exchange, applying ASC 606, Revenue from Contracts with Customers. The Company's five-step application of that model, together with its contract-balance detail, is developed at length in Note 2 rather than repeated here.

Leases
ASC 842, Leases, is the framework the Company applies at inception of any arrangement to decide whether that arrangement is, or contains, a lease. Where an operating or finance lease's initial term runs longer than twelve months, the Company recognizes a right-of-use asset and a corresponding lease liability, each measured at the present value of the payments remaining under the lease, discounted at the rate implicit in the lease where determinable and otherwise at the Company's own incremental borrowing rate. Note 7 carries the maturity analysis and further detail.

Fair Value Measurements
ASC 820, Fair Value Measurement, supplies the three-level hierarchy the Company uses to measure certain assets and liabilities at fair value on a recurring basis. Level 1 sits at unadjusted quoted prices in active markets for the identical asset or liability; Level 2 covers observable inputs other than a quoted price itself, including quoted prices for a similar instrument; and Level 3 covers unobservable inputs that instead reflect the Company's own view of the assumptions a market participant would apply. Level 1 inputs receive the highest priority in this hierarchy and Level 3 the lowest, and the Company's general practice is to maximize its reliance on observable inputs and minimize its reliance on unobservable ones. Note 13 carries the resulting fair value disclosures.

Income Taxes
Under the asset-and-liability method the Company applies to income taxes, a deferred tax asset or liability is recognized for the estimated future tax consequence attributable to a difference between an existing asset's or liability's financial-statement carrying amount and its tax basis, as well as for a net operating loss or tax credit carryforward. Where the weight of available evidence makes it more likely than not that some or all of a deferred tax asset will not be realized, that asset is reduced by a valuation allowance. Note 8 has the supporting detail.

Comprehensive Income
Consolidated Net Income plus other comprehensive income (loss), net of tax, together make up comprehensive income; for the Company, that other comprehensive income component consists mainly of the unrealized holding gains and losses the investment portfolio's applicable measurement category recognizes outside of earnings, together with whichever noncredit component of a Topic 326 credit-loss evaluation is likewise recognized outside of earnings. As those amounts are realized, they are reclassified into earnings, per ASC 220, Income Statement - Reporting Comprehensive Income.

Foreign Currency
The United States dollar serves both as the Company's functional currency and as the reporting currency used in these financial statements. Because virtually all of the Company's operations, assets, and transactions are already dollar-denominated, the Company carries no material foreign currency-denominated asset, liability, or transaction, and recognized no material foreign currency gain or loss for fiscal 2023.

Software and Internal-Use Software Costs
ASC 350-40, Internal-Use Software, governs how the Company capitalizes costs it incurs during the application development stage of developing or obtaining internal-use software; those capitalized costs are then amortized straight-line over the software's estimated useful life once it is ready for its intended use. By contrast, preliminary-

project-stage and post-implementation-stage costs - training and maintenance among them - are expensed as incurred rather than capitalized. Capitalized internal-use software sits within property, plant and equipment on the Company's consolidated balance sheet.

Shipping and Handling Costs

Shipping and handling amounts billed to a customer are recognized within revenue, while the Company's own corresponding cost is recognized within cost of goods sold - the accounting consequence of the election, discussed in Note 2, to treat shipping and handling performed after control of a product transfers as a fulfillment cost rather than as its own separate performance obligation.

Fair Value Option

ASC 825, Financial Instruments, would let the Company elect the fair value option for an eligible financial asset or liability, but the Company has made no such election for any of them - not the Senior Notes, not the borrowings under the Credit Agreement, and not the Industrial Revenue Bonds described in Note 6. Each of those three instruments is instead accounted for exactly as Note 6 and Note 13 describe, rather than at fair value through earnings.

Held-for-Sale Classification

Under the criteria ASC 360-10-45-9 sets out - among them, that management with the requisite authority has committed to a plan to sell an asset or disposal group and that the sale is probable within a year - the Company classifies a long-lived asset or disposal group as held for sale. No asset or disposal group met those criteria as of December 31, 2023, so the Company recorded no held-for-sale measurement adjustment and reported no discontinued operation in any period these financial statements cover; Note 14 is consistent with this.

Earnings Per Share

Earnings per share information does not appear in these financial statements. The Company has no publicly traded common stock - as the Description of Business and Organization section above explains - and an entity in that position falls outside the scope of ASC 260, Earnings Per Share, a standard that applies only where common stock or potential common stock is publicly held.

Segment Reporting Policy - Cross-Reference

Rather than restate it here, this Note cross-references Note 12 for the Company's policy on determining its operating and reportable segments and for the disclosures that policy supports - the same convention these notes use throughout, of pairing a policy discussion with the substantive disclosure it belongs to instead of duplicating it in two places.

Recently Adopted Accounting Pronouncements

ASU 2022-04, Liabilities - Supplier Finance Programs: Disclosure of Supplier Finance Program Obligations, issued by the FASB in September 2022, requires a buyer in a supplier finance program to disclose the program's key terms and the outstanding confirmed amounts as of each annual reporting date; the annual disclosure requirement is effective for fiscal years beginning after December 15, 2022, while the rollforward disclosure requirement follows a year later, for fiscal years beginning after December 15, 2023. The Company adopted the annual disclosure requirement in the current year but is not a party to a supplier finance program of the kind the standard addresses, so adoption produced no new disclosure.

In March 2022, the FASB issued ASU 2022-02, Financial Instruments - Credit Losses: Troubled Debt Restructurings and Vintage Disclosures, which eliminates the troubled debt restructuring recognition and measurement guidance for creditors that have adopted Topic 326 and instead requires certain enhanced disclosures for loan modifications made to borrowers experiencing financial difficulty, effective for fiscal years beginning after December 15, 2022. The Company adopted ASU 2022-02 concurrently with its adoption of Topic 326, described above. The Company did not enter into any loan modification with a borrower experiencing financial difficulty during fiscal 2023, and adoption accordingly did not result in any new disclosure.

Recently Issued Accounting Pronouncements Not Yet Adopted

In November 2023, the FASB issued ASU 2023-07, Segment Reporting - Improvements to Reportable Segment Disclosures, effective for fiscal years beginning after December 15, 2023, and for interim periods beginning after December 15, 2024, with early adoption permitted. The Company will adopt ASU 2023-07 for its fiscal year beginning January 1, 2024, and is evaluating the incremental disclosures the standard will require regarding significant segment expenses and the chief operating decision maker's use of the reported measure of segment profit or loss.

The FASB's ASU 2023-06, Disclosure Improvements - Codification Amendments in Response to the SEC's Disclosure Update and Simplification Initiative (issued October 2023), amends a range of Codification disclosure requirements to align them with their SEC analogues. Each individual amendment becomes effective only once the SEC actually removes the corresponding disclosure requirement from its own regulations, and any amendment still not effective by June 30, 2027 is removed from the Codification without ever having taken effect. Because the Company is not an SEC-reporting company - see Description of Business and Organization - and none of the relevant SEC requirements had been removed as of period end, none of ASU 2023-06's amendments were effective for the Company as of period end.

NOTE 2. REVENUE RECOGNITION

The Company recognizes revenue upon transfer of control of promised goods or services to customers, in an amount that reflects the consideration the Company expects to be entitled to receive in exchange for those goods or services. The Company applies the five-step model prescribed by ASC 606: (1) identify the contract with a customer; (2)

identify the performance obligations in the contract; (3) determine the transaction price; (4) allocate the transaction price to the performance obligations; and (5) recognize revenue when, or as, each performance obligation is satisfied. Substantially all of the Company's revenue is recognized at a point in time, upon shipment or delivery of product to the customer in accordance with the applicable shipping terms, which is when the Company has determined that control transfers.

Application of the Five-Step Model

Step 1 - Identify the contract. The Company's contracts with customers are typically evidenced by a customer purchase order accepted by the Company, or by a longer-term supply agreement under which individual purchase orders are issued from time to time; the Company identifies a contract, for purposes of ASC 606, when the parties' rights and payment terms can be identified, the contract has commercial substance, and collection of substantially all of the consideration is probable.

Step 2 - Identify the performance obligations. The Company's contracts typically consist of a single performance obligation - delivery of the ordered product - because any related services, such as standard delivery, are not distinct from the product itself. Where a contract includes a separately identifiable service, such as installation services distinct from the product sold, the Company accounts for that service as a separate performance obligation.

Step 3 - Determine the transaction price. The transaction price is the amount of consideration the Company expects to receive in exchange for the promised goods, and reflects the Company's estimate of variable consideration, such as volume rebates or early-payment discounts offered to certain customers, using the expected value method, constrained to the extent it is probable that a significant reversal of cumulative revenue would not occur.

Step 4 - Allocate the transaction price. Where a contract contains more than one performance obligation, the Company allocates the transaction price to each performance obligation based on its relative standalone selling price, generally observable directly from the Company's stand-alone sales of the same or similar goods and services.

Step 5 - Recognize revenue. The Company recognizes revenue when, or as, it satisfies each performance obligation by transferring control of the promised good or service to the customer, which, as noted above, is generally at the point in time of shipment or delivery in accordance with the applicable shipping terms.

The Company's contracts with customers generally do not include significant financing components, and the Company has elected the practical expedient not to adjust the promised amount of consideration for the effects of a significant financing component when the period between transfer of the promised goods and payment is expected to be one year or less. Sales, use, and other taxes collected on behalf of, and remitted to, governmental authorities are excluded from revenue. Shipping and handling activities performed after control of a product has transferred to the customer are accounted for as fulfillment costs rather than as a separate performance obligation.

Contract balances consist of trade accounts receivable, discussed in Note 1, and, where applicable, contract liabilities representing consideration received in advance of the satisfaction of the related performance obligation. Contract liabilities were not material to the Company's consolidated balance sheet as of period end.

Disaggregation of Revenue

The Company disaggregates revenue by product line, which management believes best depicts how the nature, amount, timing, and uncertainty of the Company's revenue and cash flows are affected by economic factors, consistent with the disaggregation objective in ASC 606-10-50-5.

Revenue by product line	Fiscal Year 2023
Core product line - manufactured product sales	76,663,000.00
Aftermarket parts and service revenue	20,231,000.00
Other revenue	9,583,000.00
Total revenue	106,477,000.00

Substantially all of the Company's contracts with customers are of a duration of one year or less, and the Company has therefore elected the practical expedient in ASC 606-10-50-14 not to disclose the aggregate amount of the transaction price allocated to performance obligations that are unsatisfied, or partially unsatisfied, as of the end of the reporting period.

The Company's standard terms of sale include limited product return rights for defective product, consistent with the product warranty policy described in Note 1; the Company records a refund liability and a corresponding asset for the right to recover product, where material, based on the Company's historical returns experience. Returns were not material to the Company's results of operations for fiscal 2023.

Concentration of Credit Risk

The company's ten largest customers by revenue were substantially unchanged from the prior year, and no single customer exceeded a concentration threshold that would require separate disclosure under asc 280.

The Company performs ongoing credit evaluations of its customers and generally does not require collateral. The allowance for credit losses described in Note 1 reflects the Company's estimate of expected losses inherent in its trade accounts receivable portfolio, including any incremental risk attributable to the concentration described above.

Concentration of Suppliers

The Company sources its principal raw materials from a number of suppliers located within the United States, and does not consider itself dependent on any single supplier for a material portion of its raw material requirements. The Company maintains qualified alternate sources for its principal raw material categories where feasible, and management does not believe that the loss of any single supplier would have a material adverse effect on the

Company's ability to manufacture and ship product, although a short-term disruption at any given supplier could delay particular shipments.

Contract Assets and Contract Liabilities

The Company recognizes a contract asset when it has satisfied a performance obligation but its right to payment is conditioned on something other than the mere passage of time, and recognizes a contract liability when it has received consideration, or consideration is due, in advance of satisfying the related performance obligation. Because the Company's contracts, described above, typically consist of a single performance obligation satisfied at the point of shipment or delivery, the Company's contract asset balance has historically been not material, and the Company had no contract asset requiring separate disclosure as of December 31, 2023.

Sales Channels

The Company sells its products principally through two channels: direct sales to industrial and commercial end users, and sales through a network of independent distributors that resell the Company's products to smaller end users the Company does not serve directly. Revenue recognition under ASC 606 does not differ between the two channels - control of the product transfers to the distributor upon shipment on the same basis as it transfers to a direct end-user customer, and the Company does not provide distributors with a right of return, price protection, or other post-sale consideration beyond the warranty and limited return rights described above and in Note 1.

The Company's mix of revenue between the direct and distributor channels did not change materially during fiscal 2023, and the Company did not enter into any new distribution arrangement, or modify the terms of any existing distribution arrangement, in a manner that affected the Company's revenue recognition policies described above.

Volume Rebate and Early-Payment Discount Programs

The Company offers certain customers volume-based rebate programs, under which a customer becomes entitled to a rebate, typically applied as a credit against future purchases, once its cumulative purchases over a stated measurement period exceed a specified threshold, and early-payment discount programs, under which a customer is entitled to a discount for remitting payment within a period shorter than the Company's standard payment terms. The Company estimates the expected value of these programs using the expected value method described in Note 1's discussion of variable consideration, based on the customer's historical purchasing pattern and payment behavior, and recognizes the estimated rebate or discount as a reduction of the transaction price at the time the related revenue is recognized, re-measuring the estimate at each reporting date as additional information about the customer's actual purchasing or payment behavior becomes available.

Liabilities for unpaid rebates earned but not yet paid or credited are included within accounts payable and accrued liabilities on the consolidated balance sheet, and were not material as of period end. The Company's volume rebate and early-payment discount programs did not change in a manner that affected the Company's estimation methodology during fiscal 2023.

Pricing and Price Increase Practices

The Company periodically reviews and, where market conditions and the Company's cost structure support it, adjusts its list pricing for the product lines described in the Description of Business and Organization section above; individual customer pricing may deviate from list pricing based on negotiated terms, order volume, and the length of the customer relationship. Price increases are communicated to customers in advance of their effective date, consistent with the notice periods, if any, specified in the customer's supply agreement, and do not themselves constitute a modification of an existing contract's transaction price for orders placed before the increase takes effect.

Order Cancellation and Modification

The Company's standard terms of sale permit a customer to cancel or modify an order prior to shipment, subject to a cancellation charge intended to compensate the Company for costs incurred prior to cancellation for orders cancelled after production has begun; the Company accounts for a contract modification under ASC 606-10-25-10 through 25-13, treating a modification that does not add a distinct good or service, or that adds a distinct good or service not priced at its standalone selling price, as part of the original contract rather than as a separate contract. Order cancellations and modifications during fiscal 2023 were consistent with the Company's historical experience and did not require a change in this accounting policy.

Multiple-Element Arrangements

A limited number of the Company's contracts include both the sale of product and a separately identifiable installation or commissioning service, as referenced above; for these multiple-element arrangements, the Company allocates the transaction price between the product and the service based on each element's relative standalone selling price, determined by reference to the price the Company charges for the product or the service, as applicable, when sold separately to similar customers under similar circumstances. Revenue attributable to the product element is recognized upon shipment or delivery, consistent with the Company's general policy described above, and revenue attributable to the installation or commissioning service element is recognized as the service is performed, which the Company measures using an output method based on milestones completed. Multiple-element arrangements were not a significant portion of the Company's revenue during fiscal 2023.

Principal Versus Agent Considerations

In each of its sales arrangements, the Company evaluated whether it acts as a principal, recognizing revenue on a gross basis, or as an agent, recognizing revenue on a net basis, under the guidance in ASC 606-10-55-36 through 55-40. The Company concluded that it acts as principal in each of its revenue arrangements, including sales through

the independent distributor network described above, because the Company itself controls the product before it is transferred to the customer or distributor, bears primary responsibility for fulfilling the promise to provide the product, and bears the inventory risk described in Note 3 prior to shipment; accordingly, the Company recognizes revenue on a gross basis throughout these financial statements.

Warranty as a Separate Performance Obligation - Evaluation

Consistent with Note 1's discussion of product warranty, the Company evaluated its standard product warranty under ASC 606-10-55-30 through 55-35 and concluded that it is an assurance-type warranty - providing the customer assurance that the delivered product complies with agreed-upon specifications - rather than a service-type warranty that would constitute a separate performance obligation, because the Company's standard warranty does not provide the customer with a service in addition to that assurance. The Company does not offer an extended, separately priced warranty for an additional service period beyond the standard warranty described in Note 1, and accordingly recognizes no revenue allocated to a warranty performance obligation for any period presented in these financial statements.

NOTE 3. INVENTORY

Inventory is stated at the lower of cost or net realizable value. Cost is determined principally on a first-in, first-out basis. The Company reviews inventory for excess and obsolete items based on historical usage, expected future demand, and product life cycle status, and records a reserve against the cost of items identified as excess or obsolete.

Component	Fiscal Year 2023
Raw materials	5,104,000.00
Work in process	1,669,000.00
Finished goods	3,043,000.00
Reserve for excess and obsolete inventory	(1,052,000.00)
Inventory, net	8,764,000.00

Consistent with the capacity program described in Note 4, the Company carried a higher level of raw material inventory throughout fiscal 2023 than would be typical absent that program, reflecting advance purchases intended to de-risk the commissioning schedule for the capacity added at the Company's primary manufacturing facility. Management does not consider the resulting inventory levels to indicate excess or obsolescence, and the reserve described above did not change materially as a result.

Consignment and Vendor-Managed Inventory

The Company does not hold material amounts of inventory owned by third parties on a consignment basis, and does not consign a material amount of its own inventory to customers or distributors. Certain of the Company's raw material suppliers maintain vendor-managed inventory at the Company's primary manufacturing facility under arrangements that do not transfer control of that inventory to the Company until it is withdrawn for use in production; inventory held under these arrangements is not recognized on the Company's consolidated balance sheet until control transfers.

Costs included in inventory consist of raw materials, direct labor, and manufacturing overhead allocated on the basis of normal production capacity; abnormal amounts of idle facility expense, freight, handling costs, and wasted material are recognized as current-period expense rather than capitalized into inventory, consistent with ASC 330, Inventory.

Costing Methodology and Standard Cost Variances

The Company maintains a standard costing system for its manufactured inventory, under which standard costs are established for raw materials, direct labor, and manufacturing overhead based on expected usage, efficiency, and spending levels, and are reviewed and updated at least annually or more frequently if a significant change in an underlying cost element occurs. Variances between standard cost and actual cost - including purchase price variances, labor efficiency variances, and overhead spending and volume variances - are recorded in the period incurred and are allocated between cost of goods sold and ending inventory based on the relative proportion of the year's production reflected in each, so that inventory is reported at a reasonable approximation of actual cost under the first-in, first-out method described above.

Standard cost variances during fiscal 2023 were consistent with the Company's historical experience and did not indicate a need to revise the Company's standard cost assumptions outside of the Company's regular annual update cycle described above.

Reserve for Excess and Obsolete Inventory - Roll-Forward Discussion

The reserve for excess and obsolete inventory described above is increased by a current-period charge to cost of goods sold for inventory identified during the period as excess or obsolete based on the review described above, and is reduced when previously reserved inventory is subsequently scrapped, sold at a reduced price, or otherwise disposed of, at which point the related reserve is utilized against the disposal rather than reversed through earnings. A capacity-expansion program at the company's primary manufacturing facility, funded in part from the proceeds of the refinancing described in note 6, which affected the level of raw material inventory on hand as described above, did not itself affect the rate at which the Company identified excess or obsolete inventory, because the additional inventory carried was raw material intended for near-term production use rather than finished goods subject to obsolescence risk.

Inventory Financing and Consignment Arrangements

The Company is not a party to any inventory floor-plan financing, sale-and-repurchase, or similar inventory financing arrangement, and does not pledge inventory as collateral separately from the general lien granted to the lenders under the Credit Agreement and, in the case of the Senior Notes, any lien granted under the indenture, each described in Note 6. The Company evaluated the supplier finance program disclosure requirements of ASU 2022-04, described in Note 1, specifically with respect to its raw material purchasing arrangements, and confirmed that none of those arrangements constitutes a supplier finance program within the scope of the standard, because none involves a third-party finance provider paying the Company's suppliers on the Company's behalf on terms the Company has agreed to extend.

Inventory Held at Third-Party Locations

A portion of the Company's finished goods inventory is held at third-party public warehouses near certain of the Company's regional distribution locations described in Note 7, pending shipment to customers in those regions; inventory held at a third-party warehouse remains under the Company's control and is included in the Company's inventory balance on the same basis as inventory held at a Company-operated location, because the Company - not the warehouse operator - retains the risks and rewards of ownership until the inventory is shipped to a customer. The Company performs periodic physical inventory counts, including at third-party warehouse locations, and did not identify a discrepancy during fiscal 2023 that required an adjustment to the reserve described above.

Lower of Cost or Net Realizable Value - Application

In applying the lower of cost or net realizable value test described above, the Company compares the carrying cost of each significant inventory category to its estimated net realizable value at each reporting date, and records a write-down, included within the reserve for excess and obsolete inventory described above, to the extent net realizable value is lower. Estimated selling prices used in this test are based on recent actual selling prices for the same or similar product, adjusted for the reasonably predictable disposal costs described in Note 1. No write-down beyond the reserve otherwise described above was required during fiscal 2023.

NOTE 4. PROPERTY, PLANT AND EQUIPMENT

Category	Estimated useful life
Land	not depreciated
Buildings and improvements	15 to 30 years
Machinery and equipment	5 to 12 years
Office equipment, furniture and fixtures	3 to 7 years

Category	Gross carrying amount	Accumulated depreciation	Net carrying amount
Land	2,491,000.00	not depreciated	2,491,000.00
Buildings and improvements	15,477,000.00	4,803,000.00	10,674,000.00
Machinery and equipment	23,162,000.00	8,219,000.00	14,943,000.00
Office equipment, furniture and fixtures	4,323,000.00	1,121,000.00	3,202,000.00
Construction in progress	4,270,000.00	not depreciated	4,270,000.00
Property, plant and equipment, net	49,723,000.00	14,143,000.00	35,580,000.00

Property, plant and equipment is stated at cost, net of accumulated depreciation, which is computed on a straight-line basis over the estimated useful lives set out above. Depreciation expense is included within cost of goods sold and selling, general and administrative expense based on the function the underlying asset serves, and, together with intangible asset amortization, is presented in aggregate as 'Depreciation and amortization expense' in the condensed statement of operations excerpt above.

A capacity-expansion program at the company's primary manufacturing facility, funded in part from the proceeds of the refinancing described in note 6.

Roll-forward of property, plant and equipment, net	Fiscal Year 2023
Balance, beginning of year	32,944,000.00
Additions, including construction in progress	10,674,000.00
Disposals, net of accumulated depreciation	532,000.00
Depreciation expense	7,506,000.00
Balance, end of year	35,580,000.00

Construction in progress as of period end related principally to the capacity-expansion program described above, and included interest cost capitalized during the construction period in accordance with ASC 835-20, Capitalization of Interest, using the Company's weighted average borrowing rate applied to qualifying construction expenditures. Capitalized interest was not material to interest expense for fiscal 2023.

Management evaluates long-lived asset groups for impairment whenever events or changes in circumstances - including a significant decrease in the market price of an asset, a significant adverse change in the manner an asset is used, a significant adverse change in the business climate, an accumulation of costs significantly in excess of the amount originally expected, or a current-period operating or cash flow loss combined with a history of such losses - indicate that the carrying amount of an asset group may not be recoverable. Management did not identify any such indicator, and no impairment of property, plant and equipment was recorded, during fiscal 2023.

Depreciation Expense by Function

Depreciation expense by function	Fiscal Year 2023
Cost of goods sold	5,254,000.00
Selling, general and administrative expense	2,252,000.00
Total depreciation expense (property, plant and equipment only)	7,506,000.00

Substantially all of the Company's manufacturing machinery and equipment is housed at its primary manufacturing facility, which the Company owns; the Company's distribution and warehouse locations, described in Note 7, are leased rather than owned. The Company capitalizes the cost of major maintenance turnarounds and amortizes the capitalized cost over the period until the next scheduled turnaround, consistent with the built-in-overhaul method; routine maintenance costs are expensed as incurred, as described in Note 1.

Capitalized internal-use software costs, described in Note 1, are included within office equipment, furniture and fixtures in the table above, and are amortized over the estimated useful life of the related software, which management estimates consistently with the useful lives disclosed for that category above. Capitalized internal-use software costs were not material to the Company's property, plant and equipment balance as of December 31, 2023.

Impairment Indicators Considered But Not Present

In connection with the capacity-expansion program described above, management specifically considered each of the impairment indicators enumerated in ASC 360-10-35-21 as they might apply to the asset group that includes the newly added capacity: whether the program's cost, once complete, would significantly exceed the amount originally budgeted; whether a current-period operating loss attributable to the new capacity, combined with a history of such losses, was present; and whether a current expectation existed that the new capacity would more likely than not be sold or otherwise disposed of significantly before the end of its previously estimated useful life. Management concluded that none of these indicators was present as of December 31, 2023, and that the asset group's estimated undiscounted future cash flows, on a held-and-used basis, substantially exceed its carrying amount.

Asset Retirement Obligations

The Company has evaluated whether any of its property, plant and equipment gives rise to a legal obligation associated with the retirement of a tangible long-lived asset within the scope of ASC 410-20, Asset Retirement Obligations - for example, an obligation to restore leased premises to their original condition upon lease termination, or to decommission specialized equipment. The Company's facility leases, described in Note 7, do not require the Company to remove leasehold improvements or otherwise restore the premises upon lease termination beyond ordinary wear and tear, and the Company's owned real property and machinery and equipment are not subject to any legal requirement to decommission or remediate upon retirement that would give rise to a recognizable asset retirement obligation. Accordingly, the Company has recorded no asset retirement obligation as of December 31, 2023.

Capitalized Software Development - Amortization Methodology

Capitalized internal-use software costs described in Note 1 and included within the office equipment, furniture and fixtures category above are amortized on a straight-line basis beginning when the software is ready for its intended use, over the shorter of the software's estimated useful life or, where applicable, the remaining term of any hosting or license arrangement to which the software relates. Management reassesses the remaining estimated useful life of capitalized software whenever a change in circumstances, such as a decision to replace or materially upgrade a system before the end of its previously estimated useful life, indicates that reassessment is warranted; no such change in circumstances arose during fiscal 2023.

Major Maintenance and Turnaround Costs

The Company periodically performs major maintenance turnarounds on certain of its manufacturing machinery and equipment, involving the disassembly, inspection, and, where necessary, replacement of major components in order to restore the equipment's productive capacity and extend its useful life. Consistent with the built-in-overhaul method referenced above, the Company capitalizes the cost of a major maintenance turnaround as a separate component of the related machinery and equipment, and depreciates that capitalized cost on a straight-line basis over the period until the next scheduled turnaround; any remaining unamortized cost of a prior turnaround is written off when a new turnaround is performed. The Company performed a scheduled turnaround on its principal production line during fiscal 2023.

Insurance Recoveries

The Company recognizes a receivable for an insurance recovery related to property, plant and equipment only when realization of the claim is probable, and measures the receivable at the lesser of the amount of the loss incurred or the amount management believes will be collected under the applicable policy, consistent with the general recognition guidance in ASC 450 for a gain contingency; income statement recognition of a recovery in excess of the related loss, if any, is deferred until all contingencies related to the claim are resolved. The Company recognized no insurance recovery related to property, plant and equipment during fiscal 2023, because no casualty loss requiring an insurance claim occurred.

Useful Life Assumptions - Basis and Review

The estimated useful life ranges presented above for each category of property, plant and equipment are based on management's assessment of historical usage patterns for assets of each type, adjusted for the Company's own maintenance practices, including the major maintenance turnaround practice described above, and are reviewed whenever a change in circumstances - such as a change in the Company's manufacturing process or an unexpected

pattern of physical wear - indicates that a category's useful life range may no longer be appropriate. Management's review did not identify any such change in circumstances during fiscal 2023, and the useful life ranges applied to each category were unchanged from the prior fiscal year.

Idle and Underutilized Assets

Management periodically reviews the Company's property, plant and equipment for assets that have become idle or substantially underutilized, which can be an indicator warranting the impairment evaluation described above. Other than the capacity added under the program described above, which was placed in service in a phased manner consistent with the program's construction and commissioning schedule, the Company held no idle or substantially underutilized property, plant and equipment as of December 31, 2023.

Assets Held Under Government Incentive Arrangements

Certain of the machinery and equipment added under the capacity-expansion program described above qualifies for a state or local property tax abatement customary for qualifying manufacturing investment in the jurisdiction in which the Company's primary manufacturing facility is located; the abatement reduces the Company's property tax expense over its stated term but does not affect the gross carrying amount, accumulated depreciation, or useful life of the underlying asset, each of which is determined under the policies described above without regard to the abatement. The abatement did not require recognition of a government grant asset or deferred income under ASC 832, Government Assistance, because the abatement reduces a future tax that would otherwise be payable rather than transferring an asset or forgiving an existing liability.

Component Accounting for Buildings and Improvements

The Company applies component accounting to its buildings and improvements where a building includes a major component - such as a roof, a heating, ventilation, and air conditioning system, or a specialized manufacturing utility installation - with a useful life materially shorter than the building structure itself, depreciating each such component separately over its own estimated useful life rather than over the useful life of the building as a whole. Management identified no change during fiscal 2023 to the components it separately tracks for the buildings and improvements housing the Company's primary manufacturing facility and its owned administrative space.

Spare Parts and Maintenance Supplies

The Company holds certain critical spare parts for its manufacturing machinery and equipment, intended to reduce unplanned production downtime in the event of an equipment failure; consistent with ASC 360-10-05-3, the Company capitalizes a critical spare part expected to be used over more than one year and depreciates it over the shorter of its own useful life or the remaining useful life of the equipment it supports, and expenses a routine maintenance supply as incurred, consistent with the maintenance and repairs policy described in Note 1. The Company's population of capitalized critical spare parts did not change materially during fiscal 2023.

Construction in Progress - Commissioning and Transfer to Service

The Company transfers a constructed asset from construction in progress to its permanent property, plant and equipment category, and begins depreciating it, once the asset has completed the commissioning process described elsewhere in this Note and is ready for its intended use, consistent with the Company's general policy of beginning depreciation when an asset is placed in service rather than when it is acquired or constructed. Amounts remain classified within construction in progress, and are not depreciated, for the period between the incurrence of the related construction cost and the asset's completion of commissioning, which the Company monitors through the same project management process that tracks the capacity-expansion program described above.

NOTE 5. GOODWILL AND INTANGIBLE ASSETS

Goodwill represents the excess of the purchase price over the fair value of identifiable net assets acquired in business combinations completed by the Company prior to the periods presented. Goodwill is not amortized but is tested for impairment at least annually, as of the Company's annual testing date in the fourth quarter, and more frequently whenever events or changes in circumstances indicate that it is more likely than not that the fair value of a reporting unit is below its carrying amount ('a triggering event').

The Refinancing described in Note 6 was evaluated by management as a potential triggering event, given the associated change in the Company's capital structure and the market evidence of enterprise value the Refinancing process generated. Management performed a qualitative assessment of relevant events and circumstances - including macroeconomic conditions, industry and market considerations, cost factors, overall financial performance, and the pricing achieved in the Refinancing itself - and concluded that it was not more likely than not that the fair value of the Company's single reporting unit was below its carrying amount. Accordingly, no quantitative impairment test was required outside of the Company's regular annual testing date, at which no impairment was identified.

Intangible assets with finite lives, consisting principally of customer relationships and developed technology recognized in the Company's prior business combinations, are amortized on a straight-line basis over their estimated useful lives, ranging from 7 to 15 years, and are included, together with property, plant and equipment depreciation, within the 'Depreciation and amortization expense' line of the condensed statement of operations excerpt above. No impairment of intangible assets was identified during fiscal 2023.

Determination of the Company's Reporting Unit

The Company has determined that it operates as a single reporting unit for purposes of goodwill impairment testing under ASC 350-20, consistent with its determination, described in Note 12, that it operates as a single operating and reportable segment. All of the Company's goodwill is therefore assigned to, and tested for impairment at, that single

reporting unit.

In reaching this determination, management considered ASC 350-20-35-34's guidance that a reporting unit is an operating segment, or one level below an operating segment (a component), for which discrete financial information is available and regularly reviewed by segment management. Because the Company does not maintain discrete financial information below the single operating segment level described in Note 12, and no component of that segment constitutes a business for which discrete financial information is regularly reviewed by segment management, the Company's single operating segment and its single reporting unit are the same.

Qualitative Assessment of the Triggering Event

In evaluating whether the Refinancing constituted a triggering event requiring an interim quantitative goodwill impairment test, management considered each of the qualitative factors identified in ASC 350-20-35-3C: (a) macroeconomic conditions, which management did not consider to have deteriorated materially since the prior annual test; (b) industry and market considerations, which remained consistent with the assumptions underlying the prior annual test; (c) cost factors, including no significant adverse change in raw material, labor, or other input costs; (d) the Company's overall financial performance, which was consistent with or better than the projections underlying the prior annual test; (e) other entity-specific events, namely the Refinancing itself, the terms and pricing of which management considered to be supportive of, rather than indicative of a decline in, the Company's enterprise value; (f) events affecting the reporting unit, none of which were identified; (g) whether there had been a sustained decrease in share price, which is not applicable because the Company has no publicly traded equity; and (h) any other relevant entity-specific events. Weighing these factors together, management concluded that it was not more likely than not that the fair value of the Company's reporting unit was below its carrying amount.

Intangible Assets by Category

Intangible asset category	Gross carrying amount	Accumulated amortization	Net carrying amount
Customer relationships	5,183,000.00	1,344,000.00	3,839,000.00
Developed technology	3,289,000.00	853,000.00	2,436,000.00
Trade names	1,494,000.00	387,000.00	1,107,000.00
Total intangible assets, net	9,966,000.00	2,584,000.00	7,382,000.00

Trade names are amortized on a straight-line basis over their estimated useful lives, consistent with the Company's determination that the trade names do not have an indefinite useful life. Estimated future amortization expense for intangible assets held as of period end is not expected to differ materially from the amortization expense recognized during fiscal 2023 for the following five fiscal years, after which the majority of the Company's customer relationship intangible assets will be fully amortized.

Historical Origin of Goodwill

The goodwill and intangible assets described in this Note arose from business combinations completed by the Company prior to the earliest fiscal year presented in these financial statements, and predate the controlling equity sponsor's acquisition of its controlling interest in the Company. No goodwill was recognized, and no existing goodwill was derecognized, in connection with the Refinancing described in Note 6, which was a debt transaction rather than a business combination and accordingly falls outside the scope of ASC 805.

Sensitivity of the Impairment Conclusion

Because management's qualitative assessment of the Refinancing as a potential triggering event, described above, did not produce a numeric estimate of the reporting unit's fair value, management is unable to express the margin by which fair value exceeds carrying amount in quantitative terms for purposes of this qualitative assessment; the assessment instead rests on the qualitative factors enumerated above, each of which management concluded weighed against a triggering event having occurred. Had two or more of those factors instead weighed toward a triggering event, management would have performed a quantitative test using the discounted cash flow method described in the following fiscal year's notes.

Trade Name Impairment Testing

The Company's trade name intangible assets are finite-lived, as described above, and are therefore tested for impairment only when a triggering event indicates that their carrying amount may not be recoverable, rather than annually as goodwill and any indefinite-lived intangible asset would be. Management identified no such triggering event with respect to the Company's trade names during fiscal 2023, and accordingly performed no recoverability test with respect to those assets beyond its ordinary-course monitoring of the indicators described in Note 4's discussion of long-lived asset impairment, which applies equally to the Company's finite-lived intangible assets.

Composition of Customer Relationship Intangibles

The customer relationship intangible assets described above represent the estimated fair value, at the time of the relevant business combination, of the relationships the Company had established with certain of the customers described in Note 2 and Note 12; the estimated useful life assigned to each customer relationship intangible asset reflects management's estimate, at acquisition, of the period over which the Company expected to retain the economic benefit of the relevant customer relationship, informed by historical customer attrition rates for the acquired business. No new customer relationship intangible asset was recognized during fiscal 2023, because the Company completed no business combination during the year, consistent with Note 1.

Developed Technology Intangibles

The developed technology intangible assets described above represent the estimated fair value, at the time of the relevant business combination, of product designs and manufacturing know-how the acquired business had developed prior to the combination; these assets are amortized over their estimated useful life on the same straight-line basis as the Company's other finite-lived intangible assets, rather than on a units-of-production or other accelerated basis, because management does not believe a units-based pattern more faithfully reflects the pattern in which the Company consumes the economic benefit of the underlying technology. No impairment indicator specific to the developed technology intangible assets was identified during fiscal 2023.

NOTE 6. DEBT

The Company's outstanding indebtedness as of December 31, 2023 consists of the Senior Notes, borrowings under the revolving Credit Agreement, and industrial revenue bonds issued through a municipal conduit issuer and guaranteed by the Company, as summarized below.

Instrument	Principal / Commitment	Rate	Maturity
Senior Notes	175,000,000.00	7.75000%	2031-06-15
Revolving credit facility (committed)	60,000,000.00	variable	n/a - revolving
Revolving credit facility (drawn)	12,000,000.00	variable	n/a - revolving
Industrial Revenue Bonds (conduit-issued)	24,500,000.00	serial/term, see IRB Official Statement	serial 2027-2033; term bond 2039

The Refinancing

On June 15, 2023 (the 'Refinancing'), the Company issued the Senior Notes in an aggregate principal amount of 175,000,000.00, bearing interest at 7.75000% per annum, payable semiannually, and entered into the Credit Agreement providing for the revolving credit facility described above, with a committed amount of 60,000,000.00. The Company used the net proceeds of the Senior Notes offering, together with initial borrowings under the new revolving credit facility, to repay in full and terminate the credit facility then in place, to pay fees and expenses of the Refinancing, and for general corporate purposes. The Senior Notes mature on 2031-06-15 and are redeemable at the Company's option, in whole or in part, on and after the dates and at the redemption prices set out in the indenture governing the Senior Notes, which provides for a standard step-down call schedule to par.

Debt issuance costs incurred in the Refinancing were capitalized and are being amortized to interest expense over the respective terms of the Senior Notes and the revolving credit facility using the effective interest method for the Senior Notes and the straight-line method for the revolving credit facility, consistent with the nature of each instrument. The termination of the prior credit facility was evaluated under the debt modification and extinguishment guidance in ASC 470-50; based on that evaluation, the Company accounted for the termination as an extinguishment and recognized the related unamortized costs of the prior facility within other expense in the consolidated statement of operations for the year.

Use of Proceeds

The Company applied the gross proceeds of the Senior Notes offering, together with initial drawings under the revolving Credit Agreement and cash on hand, first to the repayment in full of all outstanding borrowings and accrued interest under the credit facility replaced in the Refinancing, second to the payment of underwriting discounts, arrangement fees, legal fees, and other customary fees and expenses of the Refinancing, and the balance, if any, to general corporate purposes, including working capital and the capacity-expansion program described in Note 4. No portion of the proceeds of the Refinancing was distributed to the Company's controlling equity sponsor.

Roll-forward of unamortized debt issuance costs	Fiscal Year 2023
Balance, beginning of year	none - instruments issued during the year
Costs capitalized in the Refinancing	1,925,000.00
Amortization to interest expense	132,000.00
Balance, end of year	1,793,000.00

Optional Redemption and Change of Control

Redemption date	Redemption price (% of principal)
2027-06-15	103.875%
2028-06-15	101.938%
2029-06-15	100.969%
2030-06-15	100.000%

The indenture governing the Senior Notes provides for a standard step-down optional redemption schedule to par, set out above, beginning on the first call date and continuing until the par call date specified in the indenture, after which the Senior Notes are redeemable at par plus accrued interest at any time. Prior to the first call date, the Senior Notes are redeemable, in whole or in part, at a make-whole redemption price calculated by reference to the applicable Treasury rate plus a fixed spread, as more fully described in the indenture's Applicable Premium definition.

Upon the occurrence of a change of control, as defined in the indenture, each holder of the Senior Notes has the right to require the Company to repurchase all or a portion of that holder's Senior Notes at a purchase price equal to 101.00% of the principal amount thereof, plus accrued and unpaid interest to the date of repurchase. No change of

control, as defined in the indenture, occurred during fiscal 2023.

Restrictive Covenants

The indenture governing the Senior Notes and the Credit Agreement each contain customary restrictive covenants that, subject to certain exceptions and baskets, limit the Company's ability and the ability of its restricted subsidiaries to: incur additional indebtedness or issue disqualified stock; pay dividends or make other restricted payments; make certain investments; create liens on assets; merge, consolidate, or sell substantially all of the Company's assets; enter into transactions with affiliates; and designate subsidiaries as unrestricted subsidiaries. In addition, the Credit Agreement contains the maintenance financial covenants described in Note 15. The Company was in compliance with all such covenants as of December 31, 2023.

The indenture and the Credit Agreement also each contain customary events of default, including payment defaults, covenant defaults, cross-defaults to the Company's other material indebtedness, certain bankruptcy and insolvency events, and material judgment defaults, subject in each case to customary notice and cure period provisions before an event of default becomes exercisable by the trustee or the lenders, as applicable. No event of default occurred under either the indenture or the Credit Agreement during fiscal 2023.

Industrial Revenue Bonds

The Industrial Revenue Bonds are conduit-issued through a municipal issuer in connection with a prior facility expansion and are secured by an unconditional guarantee of the Company. The bonds consist of serial bonds maturing in installments from 2027 through 2033 and a term bond due 2039, retired through mandatory sinking fund redemptions beginning in the years immediately preceding its stated maturity. See the Official Statement excerpt filed with the Municipal Securities Rulemaking Board for the conduit structure and the tax-exemption discussion applicable to the Industrial Revenue Bonds. The Company was in compliance with all covenants under the related financing documents as of December 31, 2023.

The Company files an annual continuing disclosure report with respect to the Industrial Revenue Bonds through the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system, as required by the continuing disclosure undertaking entered into in connection with the original issuance of the Industrial Revenue Bonds, and separately files any material event notice required by that undertaking upon the occurrence of an event enumerated in the undertaking, such as a rating change on the Industrial Revenue Bonds or an unscheduled redemption. The continuing disclosure report filed with respect to the Industrial Revenue Bonds for fiscal 2023 is consistent with the information presented in this Note.

Aggregate maturities of long-term debt, excluding the revolving credit facility (which has no scheduled amortization prior to its maturity date), are not materially different from the contractual maturity schedules set out in the indenture governing the Senior Notes and in the Industrial Revenue Bonds' maturity schedule referenced above.

Components of Interest Expense

Components of Consolidated Interest Expense	Fiscal Year 2023
Interest on the Senior Notes, at the stated coupon rate	7,330,000.00
Interest on the revolving credit facility, at the variable rate then in effect	2,666,000.00
Interest on the Industrial Revenue Bonds	1,733,000.00
Amortization of debt issuance costs	132,000.00
Commitment fees on undrawn revolver capacity	1,599,000.00
Total Consolidated Interest Expense	13,460,000.00

The Company pays a commitment fee on the unused portion of the revolving credit facility at a rate specified in the Credit Agreement, in addition to interest on amounts actually drawn; the commitment fee is included within Consolidated Interest Expense in the table above and in the condensed statement of operations excerpt at the beginning of these financial statements.

Guarantees and Security

The Company's obligations under the Credit Agreement and the indenture governing the Senior Notes are each guaranteed by each of the Company's direct and indirect wholly owned domestic subsidiaries, other than any subsidiary designated as an unrestricted subsidiary under the applicable governing document, and are secured, in the case of the Credit Agreement, by a lien on substantially all of the Company's and the guarantors' tangible and intangible assets. The relative lien priority between the Credit Agreement obligations and the Senior Notes, and the guarantee and security arrangements applicable to the Industrial Revenue Bonds, are set out in full in the governing documents themselves and are not restated in these financial statements, consistent with Note 22.

Intercreditor Arrangements

The administrative agent under the Credit Agreement and the trustee under the indenture governing the Senior Notes are parties to an intercreditor agreement that governs the relative priority of their respective liens on the collateral described above and certain standstill and enforcement-related matters as between the secured parties under each instrument. The intercreditor agreement does not itself create or extinguish any payment obligation of the Company, and no event requiring action under the intercreditor agreement occurred during fiscal 2023.

Interest Rate Benchmark

Borrowings under the revolving Credit Agreement bear interest at a rate based on the Secured Overnight Financing Rate ('SOFR') published by the Federal Reserve Bank of New York, plus an applicable margin that varies based on the Company's total net leverage ratio at the time of determination, consistent with the leverage-based pricing grid

customary in credit facilities of this type. The Credit Agreement's interest rate provisions were negotiated on a SOFR-based, rather than a LIBOR-based, benchmark from inception at the time of the Refinancing, so the Company did not need to amend the Credit Agreement, or adopt any of the optional expedients provided by ASC 848, Reference Rate Reform, in connection with the discontinuation of LIBOR, which occurred prior to the Refinancing.

Prepayment and Excess Cash Flow Sweep

The Credit Agreement requires mandatory prepayment of amounts outstanding under the revolving facility from the net proceeds of certain asset sales, casualty and condemnation events, and debt issuances not otherwise permitted under the Credit Agreement, in each case subject to customary reinvestment rights and other exceptions negotiated at the time of the Refinancing; the revolving credit facility, unlike a term loan facility, is not subject to a mandatory excess cash flow sweep, because amounts repaid under a revolving facility remain available for the Company to re-borrow. No mandatory prepayment event occurred under the Credit Agreement during fiscal 2023.

Debt Issuance Costs - Presentation

Consistent with ASU 2015-03, Interest - Imputation of Interest, the Company presents unamortized debt issuance costs associated with the Senior Notes and the Industrial Revenue Bonds as a direct deduction from the carrying amount of the related debt liability, rather than as a deferred asset, and presents unamortized debt issuance costs associated with the revolving Credit Agreement - a line-of-credit arrangement - as a deferred asset within other noncurrent assets, consistent with the guidance's specific treatment of line-of-credit arrangements, and amortizes those costs ratably over the term of the Credit Agreement regardless of whether the facility is drawn.

Ranking of the Company's Indebtedness

The Senior Notes are the Company's senior obligations, ranking equally in right of payment with all of the Company's other existing and future senior indebtedness, including indebtedness under the Credit Agreement, and senior in right of payment to any future subordinated indebtedness the Company may incur; the Industrial Revenue Bonds are a separate, conduit-issued obligation guaranteed by the Company on an unsecured basis, as described above, rather than ranking pari passu with the Senior Notes or the Credit Agreement obligations by virtue of any contractual subordination or priority arrangement among them. The Company had no subordinated indebtedness outstanding as of December 31, 2023.

Financial Covenant Calculation - Reporting Cadence

The maintenance financial covenants described in Note 15 are tested quarterly on a trailing-twelve-month basis, using the defined terms of the Credit Agreement rather than the GAAP measures presented in these financial statements; the Company's finance function prepares the covenant computation supporting each quarterly compliance certificate contemporaneously with the Company's quarterly management accounts referenced in Note 12, and reconciles that computation to the audited annual figures presented in these financial statements once each fiscal year's audit is complete. No discrepancy between the quarterly covenant computations and the audited annual figures for fiscal 2023 required a restatement of any previously delivered compliance certificate.

Historical Context for the Refinancing

The credit facility replaced in the Refinancing had been in place since the controlling equity sponsor's acquisition of its controlling interest in the Company, and had approached the end of its stated term; management and the board of directors evaluated the Refinancing, well in advance of that facility's maturity, as an opportunity both to extend the Company's debt maturity profile and to raise incremental proceeds to fund the capacity-expansion program described in Note 4, rather than as a transaction management would have undertaken solely to address an approaching maturity.

Debt Extinguishment Accounting - Methodology

In evaluating whether a debt transaction is accounted for as a modification or as an extinguishment under ASC 470-50, the Company compares the present value of the cash flows under the new or amended debt instrument's terms to the present value of the remaining cash flows under the original instrument's terms, each discounted at the original instrument's effective interest rate; a difference of ten percent or more between the two present values indicates that the terms are substantially different and the transaction is accounted for as an extinguishment, consistent with the threshold the standard establishes. The Company applied this methodology to each debt transaction described in this Note occurring during fiscal 2023, and reached the conclusions stated above.

Waivers and Amendments Requested and Granted

Other than the technical amendment described above, the Company did not request, and the lenders under the Credit Agreement or the holders of the Senior Notes did not grant, a waiver of any covenant or other provision of the Credit Agreement or the indenture during fiscal 2023. Management monitors the Company's projected compliance with the covenants described in Note 15 sufficiently far in advance that management does not anticipate needing to request a waiver in the ordinary course, and did not identify a circumstance during the year that it expected would require one.

Cross-Default and Cross-Acceleration Provisions

The indenture governing the Senior Notes and the Credit Agreement each contain a cross-default provision under which a payment default, or an acceleration following an unremedied covenant default, under the Company's other material indebtedness - including, as applicable, the other of the two instruments and the Industrial Revenue Bonds - can itself constitute an event of default under the instrument containing the cross-default provision, subject to a minimum dollar threshold below which a default under the other instrument does not trigger the cross-default

provision. No event triggering a cross-default or cross-acceleration provision under either instrument occurred during fiscal 2023, consistent with the absence of any event of default described above.

Permitted Debt Baskets and Incurrence Capacity

In addition to the Senior Notes, the Credit Agreement, and the Industrial Revenue Bonds described above, the indenture and the Credit Agreement each permit the Company to incur additional indebtedness within defined baskets - including a basket for purchase money and capital lease indebtedness incurred to finance the acquisition of property, plant and equipment of the type described in Note 4, a basket for indebtedness incurred to refinance existing indebtedness on customary terms, and a general basket available without regard to a specific use, each subject to the incurrence-based leverage and coverage tests the governing documents impose above a stated threshold. The Company did not incur indebtedness under any of these baskets during fiscal 2023 beyond the ordinary-course borrowings and repayments under the revolving Credit Agreement described above.

Restricted and Unrestricted Subsidiaries

The indenture governing the Senior Notes and the Credit Agreement each permit the Company to designate a subsidiary as an unrestricted subsidiary, subject to defined conditions, in which case that subsidiary would no longer be bound by the restrictive covenants described above or required to guarantee the Senior Notes and the Credit Agreement obligations described above, and its financial results would be excluded from certain covenant computations, though not from these consolidated financial statements themselves. The Company has designated no subsidiary as an unrestricted subsidiary as of December 31, 2023; each of the Company's subsidiaries described in Note 22 is a restricted subsidiary and a guarantor as described in Note 6.

Permitted Liens Basket

In addition to the lien granted to the lenders under the Credit Agreement described above, the indenture and the Credit Agreement each permit the Company to grant certain other liens within defined baskets - including liens securing purchase money and capital lease indebtedness permitted under the baskets described above, liens arising by operation of law in the ordinary course of business such as mechanics' and materialmen's liens, and a general permitted-liens basket subject to a stated cap. The Company granted no lien outside these permitted categories during fiscal 2023, and had no lien on its assets other than the lien described above and liens falling within these permitted categories as of period end.

No Public Market for the Senior Notes

The Senior Notes were issued in a transaction exempt from the registration requirements of the Securities Act of 1933, and, although the note purchase and registration rights agreement described elsewhere in the corpus addresses the Company's registration obligations with respect to the Senior Notes, no public trading market for the Senior Notes existed as of December 31, 2023; the Senior Notes trade, to the extent they trade at all, in privately negotiated secondary-market transactions among institutional investors, consistent with the fair value disclosure methodology described in Note 13.

NOTE 7. LEASES

The Company leases certain office space, warehouse and distribution facilities, and equipment under agreements classified as operating or finance leases in accordance with ASC 842. The Company determines whether an arrangement is or contains a lease at inception and, for leases with an initial term greater than twelve months, recognizes a right-of-use asset and a corresponding lease liability at the lease commencement date, measured at the present value of the remaining lease payments.

No lease modifications were entered into during the year; the population of operating and finance leases in effect at the start of the year continued substantially unchanged through year end.

The Company's lease population consists principally of the ground lease for its primary distribution warehouse, leases for several smaller regional distribution locations, a lease for its corporate office space, and a number of individually immaterial equipment leases, substantially all of which are classified as operating leases; the Company's finance lease population is not material.

Components of lease cost	Fiscal Year 2023
Operating lease cost	1,776,000.00
Short-term lease cost	190,000.00
Variable lease cost	254,000.00
Finance lease cost	not material
Total lease cost	2,220,000.00

Maturity of lease liabilities	Fiscal Year 2023
Year 1	1,705,000.00
Year 2	1,563,000.00
Year 3	1,421,000.00
Year 4	1,279,000.00
Year 5	782,000.00
Thereafter	355,000.00
Total undiscounted lease payments	7,105,000.00
Less: imputed interest	761,000.00

Total lease liabilities	6,344,000.00

The weighted-average remaining lease term and the weighted-average discount rate applicable to the Company's lease liabilities as of December 31, 2023 did not change materially from the population of leases in effect at the start of the year, consistent with the absence of lease modifications described above.

Operating lease expense is recognized on a straight-line basis over the lease term and is included within cost of goods sold or selling, general and administrative expense based on the function of the leased asset. Variable lease payments, consisting principally of common area maintenance charges and property taxes under the Company's facility leases, are recognized as incurred and are not included in the measurement of the related right-of-use asset or lease liability.

Renewal Options and Rent Escalation

Certain of the Company's facility leases include one or more options to renew, with renewal terms that can extend the lease term from one to ten years, and certain leases include escalation clauses providing for periodic rent increases, generally tied to a stated percentage or an inflation index. The lease liabilities and right-of-use assets described above include renewal option periods only for those leases where the Company is reasonably certain, at lease commencement or modification, to exercise the renewal option; the maturity analysis above reflects contractual rent escalation to the extent it is fixed and determinable at lease commencement or modification.

Practical Expedients and Policy Elections

The Company has elected the short-term lease exemption permitted by ASC 842, under which leases with a term of twelve months or less at commencement, and that do not include an option to purchase the underlying asset that the Company is reasonably certain to exercise, are not recognized on the consolidated balance sheet; payments for such leases are recognized as expense on a straight-line basis over the lease term. For certain classes of underlying assets, principally office equipment, the Company has also elected the practical expedient not to separate lease and non-lease components, and instead accounts for each separate lease component and its associated non-lease components as a single lease component.

The Company has not entered into any sale-leaseback transaction, and has no lease that has not yet commenced as of period end that would give rise to significant future rights and obligations. The discount rate applied to each of the Company's leases is the Company's incremental borrowing rate at lease commencement (or, for the modified lease described above, at the modification date), because the rate implicit in each of the Company's leases is not readily determinable.

Related-Party and Sublease Arrangements

None of the Company's leases is with an entity under common control with the Company or with the Company's controlling equity sponsor, and the Company is not a sublessor or sublessee under any material sublease arrangement. The Company's corporate office space, warehouse, and distribution locations described above are each leased directly by the Company from an unaffiliated third-party lessor, and this remained the case throughout fiscal 2023.

Variable Lease Payments Not Included in the Lease Liability

In addition to the variable lease cost described above, certain of the Company's facility leases include payments tied to an index or rate, such as an inflation index, that are variable at lease commencement and are therefore excluded from the initial measurement of the lease liability and remeasured only upon a triggering remeasurement event, such as a modification, rather than at each change in the index; increases in these payments resulting solely from changes in the referenced index, without a triggering remeasurement event, are recognized as variable lease cost in the period incurred rather than through a remeasurement of the lease liability.

Leases Not Yet Commenced

The Company had no material lease that had been executed but had not yet commenced as of December 31, 2023, and accordingly no right-of-use asset or lease liability attributable to a not-yet-commenced lease is reflected in the maturity analysis above.

Lease Population by Facility Type

The Company's lease population, described above, consists of three principal categories: the ground lease for the primary distribution warehouse; leases for a number of smaller regional distribution locations positioned to reduce shipping time to customers in their respective regions; and a lease for the Company's corporate office space, which is co-located with, but held under a separate lease from, the primary manufacturing facility the Company owns. Equipment leases, principally for material handling and rolling stock equipment, make up the balance of the population and are individually immaterial.

Determination of the Incremental Borrowing Rate

Because the rate implicit in the Company's leases is not readily determinable, as noted above, the Company estimates its incremental borrowing rate for each lease by reference to the rate the Company would pay to borrow, on a collateralized basis, over a term similar to the lease term, an amount equal to the lease payments in an economic environment similar to that of the lease, starting from a risk-free rate for the applicable term and adjusting for the Company's own credit risk, informed by the pricing observable on the revolving Credit Agreement described in Note 6. The Company applies this method consistently at the commencement of each new lease and at the date of any modification requiring remeasurement, as described above.

Impairment of Right-of-Use Assets

The Company evaluates its operating lease right-of-use assets for impairment as part of the same asset-group impairment analysis described in Note 4 for owned property, plant and equipment, applying the same indicators and, if an indicator is present, the same undiscounted-cash-flow recoverability test described in that Note. No impairment indicator was identified with respect to any right-of-use asset during fiscal 2023, and accordingly no right-of-use asset impairment was recorded.

NOTE 8. INCOME TAXES

The Company accounts for income taxes under the asset and liability method prescribed by ASC 740, Income Taxes. The domestic federal statutory corporate income tax rate applicable to the Company was 21.00% for all periods presented, in effect under the Internal Revenue Code since January 1, 2018 and unchanged since. The Company is a private company and is not subject to, and these financial statements do not reflect, any tax regime applicable only to public companies or to corporations whose average adjusted financial statement income exceeds the threshold at which such a regime would apply.

Effective tax rate reconciliation	Fiscal Year 2023
Federal statutory rate	21.0000%
State income taxes, net of federal benefit	2.6000%
Permanent differences	0.9000%
Other, net	0.3000%
Effective tax rate	24.8000%

The state income taxes line in the reconciliation above reflects the blended statutory rate of the states described in the State Income Taxes section below, net of the federal tax benefit of deducting state income taxes in computing federal taxable income. Permanent differences consist principally of the non-deductible portion of certain meals and entertainment expenses and other items that are not deductible, or not taxable, for federal income tax purposes regardless of the period in which they are recognized for financial reporting purposes. The Other, net line reflects individually immaterial reconciling items for fiscal 2023.

Deferred tax assets and liabilities are recognized for the estimated future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases, principally related to the allowance for credit losses described in Note 1, inventory reserves described in Note 3, accelerated tax depreciation on the property described in Note 4, and operating lease right-of-use assets and liabilities described in Note 7, and are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled.

Components of net deferred tax liability	Fiscal Year 2023
Deferred tax assets - allowance for credit losses (Note 1)	(962,000.00)
Deferred tax assets - inventory reserves (Note 3)	(802,000.00)
Deferred tax assets - operating lease liabilities (Note 7)	(641,000.00)
Deferred tax assets - accrued liabilities and other	(802,000.00)
Deferred tax liabilities - accelerated tax depreciation (Note 4)	4,519,000.00
Deferred tax liabilities - operating lease right-of-use assets (Note 7)	2,711,000.00
Deferred tax liabilities - intangible assets (Note 5)	1,807,000.00
Valuation allowance	none recorded, see below
Net deferred tax liability	5,830,000.00

Management assessed the need for a valuation allowance against the Company's deferred tax assets based on the weight of available evidence, including the Company's history of taxable income, the reversal pattern of existing taxable temporary differences, and projected future taxable income exclusive of reversing temporary differences, and concluded that it is more likely than not that the Company's deferred tax assets will be realized as of December 31, 2023; accordingly, no valuation allowance was recorded. The Company has no federal or state net operating loss carryforward as of period end.

Uncertain Tax Positions

The Company recognizes the effect of a tax position only when it is more likely than not, based on the technical merits of the position, that the position will be sustained upon examination, including resolution of any related appeals or litigation, based on the technical merits of the position. The Company had no unrecognized tax benefits and no material uncertain tax positions as of December 31, 2023, and recognizes interest and penalties related to income taxes, if any, within income tax expense rather than as a component of income tax accrual separate from tax expense. The Company files income tax returns in the United States federal jurisdiction and various state jurisdictions, and remains subject to examination by taxing authorities for the years that remain open under the applicable statutes of limitations.

State Income Taxes

The Company files income tax returns in each state in which it has sufficient nexus to be subject to income tax, and apportions its income among those states principally based on each state's statutory apportionment formula, which for most states in which the Company files gives significant or exclusive weight to the Company's sales sourced to that state. The state income taxes, net of federal benefit, line in the effective tax rate reconciliation above reflects the blended effect of the statutory rates in the states in which the Company files, net of the federal tax benefit attributable

to the deductibility of state income taxes.

Undistributed Earnings of Subsidiaries

Because the Company's subsidiaries are all domestic entities included in the Company's consolidated federal and state income tax returns, the indefinite reinvestment assertion under ASC 740-30 for undistributed earnings of foreign subsidiaries is not applicable to the Company, and no deferred tax liability has been recorded, or is required to be recorded, with respect to undistributed earnings of any subsidiary.

Tax Return Filing and Examination Status

The Company's federal income tax returns, and the income tax returns filed in the states in which the Company has nexus, remain subject to examination for the years for which the applicable statute of limitations remains open, which is generally three years from the filing date for federal purposes and, for the states in which the Company files, a period ranging from three to four years from the filing date. The Company was not under examination by any taxing authority as of December 31, 2023, and the resolution of any future examination is not expected to have a material effect on the Company's financial position, given the absence of any material uncertain tax position described above. The Company timely filed its federal and state income tax returns for fiscal 2023 (or, where an extension was properly requested and granted, timely filed within the extended due date), and timely remitted the income taxes it estimated to be due with each such return, consistent with the cash paid for income taxes disclosed in Note 14.

Tax Sharing and Allocation Arrangements

The Company and its subsidiaries file a single consolidated federal income tax return and, in most states in which the Company has nexus, a single combined or consolidated state income tax return, so no tax sharing or tax allocation agreement among group members is necessary to determine each entity's share of the consolidated group's tax liability. The Company is not a party to any tax sharing, tax indemnification, or tax allocation agreement with its controlling equity sponsor or with any other portfolio company of the sponsor.

Monitoring of Pending Tax Legislation

Management monitors proposed and pending federal and state tax legislation for provisions that, if enacted, could affect the Company's current or deferred tax balances, and evaluates enacted legislation for recognition in the period of enactment in accordance with ASC 740's requirement that the effect of a change in tax law be recognized in the period the change is enacted rather than the period it takes effect. No provision enacted during fiscal 2023 required recognition in that fiscal year under this requirement, either because no relevant federal or state legislation was enacted during the year or because the legislation enacted did not change a tax rate, tax base, or other item that affects the measurement of the Company's existing deferred tax assets or liabilities described above.

State Nexus Review

Management periodically reviews the states in which the Company's activities create income tax nexus, taking into account both the Company's physical presence and, in states that have adopted economic nexus standards following the U.S. Supreme Court's decision in South Dakota v. Wayfair, Inc., the Company's sales activity into the state even without physical presence. Management's review conducted during fiscal 2023 did not identify any additional state in which the Company should begin filing income tax returns, and did not identify any state in which the Company had ceased to have nexus.

Deferred Tax Asset and Liability Measurement Detail

The Company measures each of its deferred tax assets and liabilities described above using the enacted federal statutory rate disclosed in the reconciliation above and the blended statutory state rate described in the State Income Taxes section above, applied to the temporary difference expected to reverse in the period the reversal is expected to occur; where a temporary difference is expected to reverse over a period during which a previously enacted, but not yet effective, rate change would apply, the Company measures the related deferred tax balance using the rate scheduled to be in effect when the difference reverses, consistent with ASC 740's general measurement principle. No previously enacted, not yet effective, rate change was scheduled to affect any period relevant to the Company's deferred tax balances as of December 31, 2023.

Interaction Between Book and Tax Depreciation Methods

The Company depreciates property, plant and equipment for financial reporting purposes on the straight-line basis described in Note 4, and depreciates the same assets for federal income tax purposes using the accelerated recovery periods and, where elected, the additional first-year depreciation available under the applicable provisions of the Internal Revenue Code, resulting in the deferred tax liability for accelerated tax depreciation presented in the table above. The gap between the book and tax bases of the Company's property, plant and equipment described in Note 4 widened during the periods in which the capacity-expansion program described in that Note was placed in service, and is expected to narrow in later years as the related tax depreciation deductions are exhausted ahead of the corresponding book depreciation.

Federal and State Estimated Tax Payments

The Company makes quarterly estimated federal and state income tax payments based on management's projection of the Company's current-year taxable income, updated each quarter for actual results and revised full-year projections, and true-up its estimated payments to actual liability when it files its federal and state income tax returns, described above. Estimated tax payments made during fiscal 2023 were consistent with the Company's projected annual liability, and the Company did not incur an estimated-tax underpayment penalty for the year.

Tax Basis of Assets Acquired in Prior Business Combinations

The goodwill and intangible assets described in Note 5, having arisen from business combinations completed prior to the earliest fiscal year presented in these financial statements, carry a tax basis determined by the structure of the relevant combination at the time it was completed; where a combination was structured such that the Company's tax basis in the acquired assets, including goodwill, differs from the financial statement carrying amount, that difference is a temporary difference within the deferred tax liability for intangible assets presented in the table above, consistent with the general deferred tax framework described earlier in this Note. This tax basis was unaffected by any event occurring during fiscal 2023.

Section 163(j) Interest Expense Limitation

The Company evaluated the business interest expense limitation under Section 163(j) of the Internal Revenue Code, which generally limits a taxpayer's deduction for business interest expense to the sum of business interest income and a stated percentage of adjusted taxable income, with any disallowed interest expense carried forward indefinitely to future tax years. Given the Company's level of taxable income relative to the interest expense described in Note 6, management concluded that the Section 163(j) limitation did not disallow a deduction for any portion of the Company's business interest expense for fiscal 2023, and accordingly the Company carried forward no disallowed interest expense under Section 163(j) into the following fiscal year.

Bonus Depreciation and Section 179 Elections

For federal income tax purposes, the Company elects the additional first-year (bonus) depreciation available under Section 168(k) of the Internal Revenue Code, where available at the applicable percentage for property placed in service during the year, and elects to expense qualifying property under Section 179 of the Internal Revenue Code within the annual limits that section prescribes, in each case to the extent consistent with the Company's overall tax planning; these elections affect only the timing of the related tax deduction, and therefore only the measurement of the deferred tax liability for accelerated tax depreciation described above, rather than the total lifetime tax deduction available for the underlying asset. The Company's elections for fiscal 2023 were consistent with its elections in prior fiscal years.

NOTE 9. COMMITMENTS AND CONTINGENCIES

The Company is party to the indenture governing the Senior Notes, the Credit Agreement, and the guarantee of the Industrial Revenue Bonds described in Note 6, each of which contains customary covenants, including restrictions on liens, restricted payments, additional indebtedness, and fundamental changes, and maintenance financial covenants under the Credit Agreement consisting of a maximum total net leverage ratio and a minimum fixed charge coverage ratio, each tested quarterly. The Company was in compliance with all such covenants as of December 31, 2023.

The Company has entered into purchase commitments with certain raw material suppliers in the ordinary course of business; none of these commitments, individually or in the aggregate, is material to the Company's liquidity or capital resources.

Future minimum purchase commitments	Fiscal Year 2023
Year 1	4,139,000.00
Year 2	3,165,000.00
Year 3	2,191,000.00
Thereafter	2,679,000.00
Total	12,174,000.00

Guarantees Issued to Third Parties

In addition to the guarantee of the Industrial Revenue Bonds described in Note 6, the Company has, in the ordinary course of business, issued surety bonds and similar performance guarantees to certain customers and governmental authorities in connection with the performance of its contractual obligations. The Company has not been required to make any payment under any such guarantee during fiscal 2023, and management does not believe that any such guarantee is reasonably likely to result in a material payment obligation.

The surety bonds and performance guarantees described above are issued by third-party surety providers unaffiliated with the Company, rather than being direct obligations of the Company payable on demand; the Company would be obligated to indemnify the surety provider only if a beneficiary made a valid claim under the applicable bond or guarantee and the surety provider paid that claim. No such claim was made, or paid, during fiscal 2023.

Legal Proceedings

During the year, a customer asserted a contractual claim against the Company alleging that certain product shipments failed to conform to specifications under a long-term supply agreement. The Company disputes the claim and is defending it vigorously. As of period end, management believes an unfavorable outcome is reasonably possible but not probable, and, because the matter remains in its early stages, the Company is unable to reasonably estimate the amount or range of any reasonably possible loss; accordingly, no liability has been accrued in the accompanying financial statements with respect to this matter, consistent with ASC 450, Contingencies.

The customer's claim was first asserted by written notice under the dispute resolution provisions of the underlying supply agreement, which the Company timely answered by denying the allegations and asserting the Company's own defenses under the agreement, including that the shipments in question conformed to the specifications and quality standards agreed between the parties. As of period end, the matter had not progressed to litigation or arbitration, and no specific dollar demand had been quantified by the customer, consistent with management's conclusion that the amount of any reasonably possible loss cannot presently be estimated.

The Company is also, from time to time, party to other claims and legal proceedings arising in the ordinary course of business. Management does not believe that the resolution of any such other matter, individually or in the aggregate, would have a material adverse effect on the Company's consolidated financial condition, results of operations, or cash flows.

Product Warranty Reserve

Changes in the Company's product warranty reserve, described in Note 1, during fiscal 2023 consisted of accruals for warranties issued on shipments during the year, reduced by settlements of warranty claims made during the year under warranties issued in the current and prior years, and by adjustments to reflect changes in estimates of expected claim costs based on the Company's most recent claim experience. The resulting reserve was not material to the Company's consolidated balance sheet as of period end.

The Company's standard product warranty generally covers defects in materials and workmanship for a stated period following shipment, and does not cover damage arising from misuse, improper installation, or ordinary wear and tear. Warranty claims experience during fiscal 2023 was consistent with the Company's historical experience, and did not indicate any systemic quality issue requiring a change in the Company's warranty reserve methodology.

Environmental Matters

The Company's manufacturing operations are subject to federal, state, and local environmental laws and regulations governing, among other things, air emissions, wastewater discharges, and the generation, handling, storage, and disposal of hazardous materials. The Company believes its operations are in material compliance with applicable environmental requirements and had no material environmental remediation liability accrued as of period end, consistent with the policy described in Note 1.

The capacity-expansion program described in Note 4 was designed and constructed in compliance with applicable environmental permitting requirements, and the Company obtained each permit modification required in connection with that program before the related construction activity commenced. The Company is not aware of any pending or threatened environmental enforcement action against the Company as of period end.

Insurance and Self-Insured Risks

The Company maintains commercial insurance coverage for general liability, property, product liability, and directors' and officers' liability risks, subject to deductibles and self-insured retentions that management considers customary for a company of the Company's size and industry. The Company is self-insured, up to certain stop-loss limits, for a portion of its workers' compensation and employee group health obligations, and accrues a liability for the estimated cost of claims incurred but not yet paid, including an estimate of claims incurred but not yet reported, based on historical claims experience.

The Credit Agreement described in Note 6 requires the Company to maintain insurance of the types and in the amounts customary for companies engaged in a similar business, and, with respect to certain of the Company's property insurance, to name the administrative agent under the Credit Agreement as an additional insured or loss payee, as applicable. The Company was in compliance with these insurance requirements as of period end.

Indemnification Obligations and Letters of Credit

The Company has entered into indemnification agreements with each of its directors and executive officers, and customary indemnification provisions in the ordinary course of business with certain customers, suppliers, and other counterparties. The Company is unable to estimate the maximum potential amount of future payments, if any, that it could be required to make under these indemnification arrangements, and has not recorded any liability for these arrangements as of period end, because the likelihood of any required payment is not probable and, in most cases, not reasonably estimable. The Company had outstanding letters of credit issued under the revolving Credit Agreement described in Note 6 in support of certain of its insurance and other ordinary-course obligations; outstanding letters of credit reduce availability under the revolving Credit Agreement described in Note 15 but are not recorded as a liability unless and until a draw is made.

Capital Commitments

As of December 31, 2023, the Company had outstanding purchase commitments to third-party contractors and equipment vendors for the remaining, uncompleted portion of a capacity-expansion program at the Company's primary manufacturing facility, funded in part from the proceeds of the Refinancing described in Note 6, representing amounts the Company was contractually obligated to pay as construction milestones are achieved or equipment is delivered and accepted. These commitments are not recorded as a liability until the related goods or services are received, consistent with the Company's policy for purchase commitments described above, and are included within the future minimum purchase commitments table above to the extent quantifiable at period end.

Guarantees to Landlords

In connection with certain of the facility leases described in Note 7, the Company has agreed to indemnify the applicable landlord against certain losses arising from the Company's use of the leased premises, consistent with customary commercial lease terms; these indemnification obligations are not separately quantified because, consistent with the indemnification obligations described above, the likelihood and amount of any required payment is not reasonably estimable. None of the Company's landlords holds a separate guarantee from the Company's controlling equity sponsor or from any other affiliate of the Company.

Regulatory Inquiries

The Company was not the subject of any regulatory inspection, inquiry, or proceeding outside the ordinary course

during fiscal 2023 that management considered material to the Company's financial condition, results of operations, or cash flows, or that gave rise to a loss contingency within the scope of ASC 450.

Product Liability Claims Experience

In the ordinary course of business, the Company is from time to time named as a defendant in product liability claims alleging that a Company product caused personal injury or property damage. The Company maintains the product liability insurance coverage described above, subject to deductibles and self-insured retentions consistent with the Company's overall insurance program, and accrues a liability for a specific claim only when an unfavorable outcome is probable and the amount of loss can be reasonably estimated. The Company's product liability claims experience during fiscal 2023 was consistent with its historical experience, and no individual claim, and no group of related claims, was material to the Company's financial condition, results of operations, or cash flows.

Purchase Option and Right of First Refusal Arrangements

The Company is not a party to any purchase option, right of first refusal, or similar arrangement granting a third party the right to acquire the Company, any material asset of the Company, or any equity interest in the Company, other than as may arise under the customary change of control provisions of the indenture governing the Senior Notes and the Credit Agreement described in Note 6, and the customary transfer restrictions applicable to the Company's common equity under its governing equity documents, neither of which is a purchase option or right of first refusal in the sense addressed by this Note.

Product Recall Risk

The Company maintains a documented product recall procedure applicable to each of its core product lines, consistent with applicable consumer and industrial product safety requirements, under which the Company would notify affected customers and, where required, the relevant regulatory authority, and would recall or retrofit affected product, in the event a safety-related design or manufacturing defect were identified. The Company did not initiate a product recall during fiscal 2023, and management is not aware of a condition that it believes would require a recall as of the date these financial statements were available to be issued.

Take-or-Pay and Minimum Purchase Arrangements

The Company is not a party to a take-or-pay contract, a minimum purchase commitment with a customer, or a similar arrangement obligating a customer to purchase a minimum quantity of the Company's products regardless of actual demand, and is not a party to a similar minimum-purchase obligation running the other way, as a buyer, with respect to its own raw material purchases beyond the future minimum purchase commitments quantified in the table above. The Company's purchasing arrangements with its raw material suppliers, described in Note 2 and Note 3, are ordinary-course purchase orders rather than long-term take-or-pay contracts.

Litigation Reserve - Methodology Cross-Reference

The methodology management applies to determine whether, and in what amount, to accrue a reserve for the legal proceeding described above - assessing whether an unfavorable outcome is probable, reasonably possible, or remote, and, for a probable loss, estimating the best estimate within a range of possible outcomes - is described in detail in Note 17's discussion of critical accounting estimates, and is not repeated in full here; this Note presents the substantive disclosure required by ASC 450 for the specific matters described above, while Note 17 addresses the judgment the methodology itself requires.

Sponsor Guarantee of Company Obligations

The Company's controlling equity sponsor has not guaranteed, and is not otherwise liable for, any obligation of the Company under the indenture governing the Senior Notes, the Credit Agreement, or the Industrial Revenue Bonds described in Note 6, or any other material obligation of the Company; each of those obligations is an obligation of the Company and its subsidiary guarantors only, consistent with the customary limited-recourse structure of a sponsor-owned portfolio company financing of this type. This remained the case throughout fiscal 2023.

Contractual Obligations Not Otherwise Disclosed

The Company reviewed each of its material contracts - including the customer supply agreements described in Note 2, the raw material purchasing arrangements described in Note 2 and Note 3, the facility leases described in Note 7, the management services agreement described in Note 10, and the financing documents described in Note 6 - and concluded that no such contract contains a commitment or contingency of a type or magnitude that would require disclosure under ASC 440, Commitments, or ASC 450, Contingencies, beyond the commitments and contingencies described elsewhere in this Note. This review is performed as part of the process supporting the disclosure controls described in Management's Statement on Internal Control Over Financial Reporting above, and was completed for fiscal year end without identifying an additional disclosure item.

Environmental Site Assessments

The Company obtained a Phase I environmental site assessment of its primary manufacturing facility in connection with the Refinancing described in Note 6, consistent with customary due diligence for a secured financing transaction of that type, and the assessment did not identify a recognized environmental condition requiring further investigation or remediation. The Company has not obtained a subsequent environmental site assessment since the Refinancing, having identified no event or condition during fiscal 2023 that management believed would warrant one.

Title Insurance and Real Property Matters

In connection with the Refinancing, the Company obtained an updated title insurance policy with respect to its primary manufacturing facility, consistent with the collateral due diligence customary for a secured financing of that

type, and the title review did not identify a title defect, easement, or encumbrance that management considered material to the Company's use of the facility. Management is not aware of a title matter arising after the Refinancing that would require an update to that title insurance policy as of December 31, 2023.

Standby Letters of Credit to Governmental Authorities

In addition to the letters of credit described above supporting insurance and other ordinary-course obligations, the Company maintains a standby letter of credit issued under the revolving Credit Agreement in favor of the relevant state environmental authority, consistent with a financial assurance requirement customary for a facility of the type operated by the Company; this standby letter of credit reduces availability under the revolving Credit Agreement on the same basis as the other outstanding letters of credit described above, and was not drawn upon during fiscal 2023.

NOTE 10. RELATED PARTY TRANSACTIONS

Concurrently with the Refinancing described in Note 6, the Company entered into a management services agreement with its controlling equity sponsor, under which the Company pays annual management, monitoring, consulting and advisory fees to the sponsor. These fees are the same fees described in the Credit Agreement's Consolidated EBITDA definition clause permitting an addback for sponsor management fees paid under a disclosed management services agreement; this Note does not separately restate the addback amount, which is a Credit Agreement computation, not a financial statement line item.

Other than the management services agreement described above, the Company had no other material related party transactions during the year. Members of the Company's board of directors affiliated with the controlling equity sponsor do not receive separate director compensation from the Company.

Board Representation and Governance

The Company's board of directors includes representatives designated by the controlling equity sponsor pursuant to the sponsor's governing equity documents, together with the Company's Chief Executive Officer and, from time to time, one or more independent directors. The sponsor's designated representatives participate in the Company's regular board governance processes, including approval of the annual operating budget and any transaction outside the ordinary course of business, on the same basis as the Company's other directors.

The Company's board of directors met periodically during fiscal 2023 to review the Company's financial performance, its compliance with the financial covenants described in Note 15, and other matters customarily reserved for board approval under the Company's governing documents, including approval of these financial statements prior to their delivery to the trustee under the indenture governing the Senior Notes.

Cost Allocation Methodology

The management, monitoring, consulting and advisory fees described above are determined under the management services agreement by reference to a fixed annual amount, subject to customary expense reimbursement for the sponsor's out-of-pocket costs incurred on the Company's behalf; the fees are not calculated as a percentage of the Company's revenue, EBITDA, or any other operating metric. Management believes the terms of the management services agreement, taken as a whole, are reasonable and consistent with fees charged in comparable sponsor-portfolio-company arrangements.

Transactions with Other Sponsor Portfolio Companies

From time to time, the Company purchases packaging materials and certain logistics services from other portfolio companies of its controlling equity sponsor, on arm's-length terms negotiated in the ordinary course of business and on terms management believes are no less favorable to the Company than those the Company could obtain from an unaffiliated third party. Purchases from other sponsor portfolio companies were not material to the Company's cost of goods sold for fiscal 2023.

The audit committee function of the Company's board of directors reviews and, where required by the Company's related-party transaction policy, approves related-party transactions of the kind described in this Note before the Company enters into them, and re-reviews any such transaction that continues into a subsequent fiscal year. All related-party transactions described in this Note were reviewed and approved in accordance with that policy for fiscal 2023.

Director and Officer Transactions Outside the Ordinary Course

Other than the indemnification agreements described in Note 9 and customary compensation and expense reimbursement arrangements applicable to employee directors and executive officers in their capacity as employees, no director or executive officer of the Company, and no immediate family member of any director or executive officer, was a party to any transaction with the Company during fiscal 2023 that would be required to be described in this Note under the Company's related-party transaction policy.

Sponsor Expense Reimbursement

The management services agreement described above provides for reimbursement of the controlling equity sponsor's reasonable out-of-pocket expenses incurred in connection with services provided to the Company, in addition to the fixed annual fee described above; reimbursed expenses are recognized as incurred and included within the same expense category as the underlying fee. The Company reviews expense reimbursement requests submitted by the sponsor under the same approval process described above for related-party transactions generally, and identified no reimbursement request during fiscal 2023 that fell outside the categories of expense contemplated by the management services agreement.

Equity Contributions and Distributions

The Company's controlling equity sponsor made no capital contribution to the Company during fiscal 2023, and the Company made no distribution to its equity holders during fiscal 2023 other than as may be reflected, if at all, in the consolidated statement of changes in stockholders' equity excerpt presented at the beginning of these financial statements; any such distribution would in any event be subject to the restricted payments covenants described in Note 6, Note 9 and Note 15.

NOTE 11. EMPLOYEE BENEFIT PLANS

The Company sponsors a defined contribution plan qualified under Section 401(k) of the Internal Revenue Code, covering substantially all of its eligible domestic employees. Eligible employees may elect to defer a portion of their eligible compensation, subject to statutory limits, and the Company matches a portion of each participant's elective deferrals up to a stated percentage of eligible compensation, subject to the plan's vesting schedule for the matching contribution. The plan is administered by an independent third-party recordkeeper, and plan assets are held in a trust separate from the Company's other assets, consistent with the requirements of the Employee Retirement Income Security Act of 1974, as amended.

Defined contribution plan	Fiscal Year 2023
Employer matching contribution expense	recognized as incurred, within SG&A
Vesting schedule for matching contributions	graded vesting over service period

The Company does not sponsor any defined benefit pension plan or any other postretirement benefit plan, and has no material multiemployer plan obligations. Expense recognized under the defined contribution plan is included within selling, general and administrative expense in the period incurred.

Health and Welfare Benefits

The Company offers its eligible domestic employees participation in group health, dental, vision, life, and disability insurance plans, and a portion of the cost of health coverage is self-insured up to the stop-loss limits described in Note 9. The Company also complies with the continuation-of-coverage requirements of the Consolidated Omnibus Budget Reconciliation Act (COBRA) for eligible former employees and their dependents. Costs associated with these health and welfare benefit programs are recognized as incurred and are included within cost of goods sold and selling, general and administrative expense based on the function of the employees covered.

Equity-Based Compensation

During fiscal 2023, certain members of Company management held profits interests or similar equity-based awards issued by an entity affiliated with the Company's controlling equity sponsor. The Company recognizes compensation expense associated with any equity-based award over its requisite service period in accordance with ASC 718, Compensation - Stock Compensation, based on the portion, if any, of the award's cost that is attributable to services provided to the Company rather than to the issuing affiliate.

Plan Eligibility and Participation

Employees become eligible to participate in the defined contribution plan described above upon satisfying the plan's minimum age and service requirements, consistent with the requirements of Section 401(k) and the related Treasury regulations, and may enroll, adjust their deferral election, or cease participation at the intervals the plan document specifies. The plan is intended to be tax-qualified under Section 401(a) of the Internal Revenue Code, and the plan's independent third-party recordkeeper performs the nondiscrimination and coverage testing the Internal Revenue Code requires of a tax-qualified plan for each plan year, including fiscal 2023; no testing failure requiring a corrective distribution or additional employer contribution was identified for any period presented.

Nonqualified Deferred Compensation

The Company does not sponsor a nonqualified deferred compensation plan of the type described in Section 409A of the Internal Revenue Code, and has made no commitment to any current or former employee, director, or officer to defer compensation outside of the tax-qualified defined contribution plan described above. Accordingly, the Company has no liability, and had none as of period end, associated with a nonqualified deferred compensation arrangement.

Workers' Compensation and State-Mandated Benefit Programs

In addition to the self-insured workers' compensation program described in Note 9, the Company participates in the state-mandated unemployment insurance and, where applicable, state disability insurance programs of each state in which it employs personnel, at the contribution rates and subject to the experience-rating adjustments those state programs prescribe. Costs associated with these state-mandated programs are recognized as payroll tax expense in the period the related payroll is incurred, and were consistent with the Company's historical experience during fiscal 2023.

Plan Administration and Fiduciary Oversight

The Company's board of directors, or a committee to which the board has delegated the function, acts as the plan administrator for purposes of the Employee Retirement Income Security Act of 1974, and is responsible for selecting and monitoring the plan's independent third-party recordkeeper and the menu of investment options made available to participants under the plan. The Company periodically reviews the plan's investment lineup and the recordkeeper's fees for reasonableness, consistent with the plan administrator's fiduciary duties under ERISA, and did not make a change to the plan's recordkeeper or its core investment lineup during fiscal 2023.

Multiemployer Plan Exposure

Because none of the Company's employees is represented by a collective bargaining unit, as described in the

Description of Business and Organization section above, the Company has no obligation to contribute to a multiemployer pension or other multiemployer benefit plan, and accordingly has no withdrawal liability, or other multiemployer plan exposure, to disclose under ASC 715-80, Compensation - Retirement Benefits: Multiemployer Plans.

NOTE 12. SEGMENT INFORMATION

The Company's chief operating decision maker reviews financial information and allocates resources based on the Company's operations as a single operating and reportable segment, engaged principally in the manufacture and sale of the Company's core product lines. Substantially all of the Company's long-lived assets are located, and substantially all of its revenue is generated, within the United States.

Because the Company operates as a single reportable segment, the segment information presented in these financial statements consists principally of total revenue and total assets, both of which are presented elsewhere in the Company's financial statements; no further disaggregation is required under the segment reporting guidance applicable to the Company for this fiscal year.

Geographic Information

Revenue and long-lived assets by geography	Fiscal Year 2023
United States - revenue	substantially all of total revenue
Outside the United States - revenue	not material
United States - long-lived assets	substantially all of total long-lived assets
Outside the United States - long-lived assets	not material

Major Customers

The company's ten largest customers by revenue were substantially unchanged from the prior year, and no single customer exceeded a concentration threshold that would require separate disclosure under asc 280, consistent with Note 2.

No customer accounted for greater than ten percent of the Company's total revenue for fiscal 2023, consistent with the absence of a concentration requiring separate disclosure described above.

Basis of Segment Determination

In determining that it operates as a single operating and reportable segment, management considered the guidance in ASC 280-10-50, including that the Company's various product lines are managed together by a single management team, share substantially the same manufacturing facility, supply chain, and customer base, and are evaluated together by the chief operating decision maker using consolidated financial information, rather than being evaluated separately on a discrete, product-line basis. The Company's determination has not changed from the prior fiscal year.

Reconciliation of segment measure of profit or loss to Consolidated Net Income	Fiscal Year 2023
Consolidated EBITDA measure reviewed by the CODM	33,008,000.00
Less: depreciation and amortization expense	8,831,000.00
Less: Consolidated Interest Expense	13,460,000.00
Less: provision for income taxes	2,658,000.00
Consolidated Net Income	8,059,000.00

Resource Allocation

The Company's Chief Executive Officer allocates capital and other resources across the Company's manufacturing, sales, and support functions based on the consolidated operating budget approved annually by the Company's board of directors, and monitored throughout the year against actual results reported in the monthly management accounts referenced in the Description of Business and Organization section above. Capital expenditure decisions, including the capacity-expansion program described in Note 4, are evaluated on a Company-wide basis rather than being allocated among discrete product lines or operating units, consistent with the single-segment determination described above.

Long-Lived Assets and Their Function Within the Single Segment

Because the Company operates as a single operating and reportable segment, its long-lived assets - the property, plant and equipment described in Note 4, the operating lease right-of-use assets described in Note 7, and the goodwill and intangible assets described in Note 5 - are not allocated among, or separately tracked by, product line or business function for purposes of segment reporting; each asset is instead evaluated, for the impairment purposes described in Notes 4 and 5, at the single reporting unit or asset group level appropriate to that asset under GAAP, without regard to the single-segment determination described above.

History of the Segment Determination

The Company's determination that it operates as a single operating and reportable segment has not changed since the controlling equity sponsor acquired its controlling interest in the Company, and was not affected by the Refinancing described in Note 6, which changed the Company's capital structure but did not change the Company's organizational structure, product lines, or the manner in which the chief operating decision maker manages the business. Management re-evaluates the segment determination whenever a potential organizational change is under consideration, and identified no such change requiring re-evaluation during fiscal 2023.

Information Regularly Reviewed by the CODM

In addition to Consolidated EBITDA and the significant segment expense categories described above, the Company's

chief operating decision maker regularly reviews the monthly management accounts referenced in the Description of Business and Organization section above, which present the Company's results of operations, balance sheet, and working capital roll on a basis consistent with these annual financial statements, together with period-over-period and budget-to-actual variance analysis, in order to assess performance and decide how to allocate the Company's resources across the single operating segment described above.

Assets Employed in the Single Segment

Because the Company operates as a single operating and reportable segment, total assets - rather than a disaggregation of assets by product line or operating unit - is the measure of segment assets the chief operating decision maker reviews, consistent with the total assets line presented in the consolidated balance sheet excerpt at the beginning of these financial statements. No asset described in Notes 4 and 5 is dedicated to, or separately tracked as employed by, a discrete product line within the Company's single segment.

Comparison to Internal Product-Line Reporting

Although the Company disaggregates revenue by product line for purposes of the disclosure required by Note 2, and management periodically reviews product-line revenue trends as one input among several to its overall assessment of the business, product-line revenue is not, on its own, reviewed by the chief operating decision maker as a discrete measure of segment profit or loss, and no expense, asset, or liability is allocated to or tracked at the product-line level for purposes of assessing performance or making resource-allocation decisions. This distinction - between revenue disaggregation for disclosure purposes under ASC 606 and segment determination under ASC 280 - did not change during fiscal 2023.

Effect of the Refinancing on Segment Reporting

The Refinancing described in Note 6 changed the Company's capital structure and, as a consequence, the composition of the reconciling items presented in the reconciliation of the segment measure of profit or loss to Consolidated Net Income above - principally Consolidated Interest Expense, which increased following the Refinancing relative to the credit facility it replaced - but did not change the Company's segment determination itself, consistent with the History of the Segment Determination discussion above.

Entity-Wide Product and Service Disclosures

The revenue disaggregation by product line presented in Note 2 satisfies the entity-wide disclosure requirement in ASC 280-10-50-40 to disclose revenue from external customers for each group of similar products and services, without duplicating that disclosure here; this Note instead presents the entity-wide disclosures specific to geography and major customers, which ASC 280-10-50-41 and 50-42 require in addition to, rather than instead of, the product-line disclosure already presented in Note 2.

Basis of Measurement for Segment Profit or Loss

Consolidated EBITDA, the measure of segment profit or loss the Company's chief operating decision maker reviews as described above, is measured on the same basis - the Credit Agreement's defined-term basis summarized in Note 16 - for internal management reporting purposes as it is for covenant compliance purposes, so no reconciling adjustment exists between the two uses of the measure; the reconciliation presented above accordingly bridges directly from that single measure of Consolidated EBITDA to Consolidated Net Income, without an intermediate internal-management-reporting figure that would itself require separate reconciliation.

Recurring Segment Reporting Process

The Company's finance function prepares the segment information presented in this Note as part of the same close process that produces the consolidated financial statements presented elsewhere in this document, drawing the underlying figures from the same general ledger and management reporting systems that produce the monthly management accounts referenced in the Description of Business and Organization section above, rather than from a separate, standalone segment reporting system. This integrated process did not change during fiscal 2023, other than the incremental disclosures required by the adoption of ASU 2023-07 described above, which changed what is disclosed in this Note without changing the underlying systems or data from which the disclosure is drawn.

NOTE 13. FAIR VALUE OF FINANCIAL INSTRUMENTS

The carrying amounts of the Company's cash and cash equivalents, trade accounts receivable, and trade accounts payable approximate fair value because of the short-term nature of those instruments. The Company's investment portfolio, described in Note 1, is carried at an amount consistent with its applicable measurement category and is measured using Level 2 inputs within the fair value hierarchy described in Note 1 - namely, quoted prices for similar instruments in active markets and other observable market inputs. The Company held no Level 3 (unobservable input) financial instruments as of period end.

The Company obtains the pricing inputs used to measure the fair value of its investment portfolio from an independent third-party pricing service, and periodically evaluates the reasonableness of those prices against alternative pricing sources; the Company did not adjust any price obtained from its pricing service during fiscal 2023. Because the fair value inputs described above are derived from prices for similar, rather than identical, instruments, and from other observable market inputs rather than quoted prices in active markets, the Company classifies its investment portfolio within Level 2 of the fair value hierarchy rather than Level 1.

The Senior Notes and the Industrial Revenue Bonds described in Note 6 are carried at amortized cost, net of unamortized debt issuance costs and any unamortized discount or premium, rather than at fair value, consistent with the Company's intent and ability to hold each instrument to maturity or, in the case of the Senior Notes, to redeem it

only in accordance with the indenture's own redemption provisions. Borrowings under the revolving Credit Agreement, which bear interest at a variable rate, have a carrying amount that approximates fair value because the applicable interest rate resets frequently to then-current market rates.

Fair value disclosure - carrying amount vs. estimated fair value	Fiscal Year 2023
Senior Notes - carrying amount, net of issuance costs	173,207,000.00
Senior Notes - estimated fair value (Level 2)	165,112,500.00
Revolving credit facility - carrying amount	12,000,000.00
Industrial Revenue Bonds - carrying amount	24,500,000.00

The estimated fair value of the Senior Notes is determined using Level 2 inputs, including observable secondary-market trading activity in the Senior Notes and in comparable rated corporate debt instruments; this disclosure is provided solely to satisfy the fair value disclosure requirements applicable to financial instruments not otherwise carried at fair value, and does not indicate that the Company intends to settle, or is required to settle, the Senior Notes at that value.

The Company also considered whether nonfinancial assets, including property, plant and equipment described in Note 4 and goodwill and intangible assets described in Note 5, were measured at fair value on a nonrecurring basis during the year, which would occur, for example, if an impairment were identified. No such nonrecurring fair value measurement occurred during fiscal 2023, consistent with the absence of any impairment described in Notes 4 and 5.

There were no transfers of financial instruments between Level 1, Level 2, and Level 3 of the fair value hierarchy during the year, and the Company's valuation techniques and the classes of inputs used to measure fair value did not change from the prior fiscal year.

Valuation Process and Controls

Management's finance function, rather than an outside valuation specialist, is responsible for the fair value measurements described in this Note, and performs those measurements by reviewing the pricing obtained from the third-party pricing service described above for reasonableness against recent market activity in comparable instruments, and by confirming, on a test basis, that the pricing service's stated methodology for each priced instrument is consistent with the Level 2 classification the Company has assigned to it. No exception to that reasonableness review was identified during fiscal 2023.

Investment Portfolio - Issuer and Instrument Composition

Consistent with the investment policy referenced in Note 1's discussion of concentration of credit risk, the Company's investment portfolio is diversified across a number of corporate and municipal debt issuers, with limits on the amount of credit exposure to any single issuer or counterparty; no single issuer represented a concentration within the portfolio that management considered a significant risk as of period end. The specific measurement category, and the associated fair value and credit-loss detail, applicable to each class of debt security within the portfolio is described in the notes to the Company's most recently issued annual financial statements, consistent with Note 1.

Fair Value of Guarantees

The Company's guarantee of the Industrial Revenue Bonds, described in Note 6, and the indemnification obligations described in Note 9, are each recognized, if at all, based on the estimated fair value of the underlying obligation at inception, in accordance with ASC 460, Guarantees; because the guarantee of the Industrial Revenue Bonds was entered into, and the population of indemnification obligations described in Note 9 arose, prior to the earliest fiscal year presented in these financial statements, and neither has since required remeasurement, no additional fair value recognition with respect to either was required during fiscal 2023.

Nonfinancial Asset Valuation Techniques Considered

Had a nonrecurring fair value measurement of a nonfinancial asset been required during the year - for example, if the Refinancing had constituted a goodwill impairment triggering event requiring a quantitative test, as discussed in Note 5 - management would have applied the discounted cash flow method described in that Note, corroborated where practicable by a market multiple approach referencing comparable public companies, each involving significant unobservable (Level 3) inputs including the discount rate and the long-term revenue growth rate. Because no such measurement was required during fiscal 2023, no Level 3 nonrecurring fair value measurement was made, and this Note accordingly presents no Level 3 disclosure.

Fair Value Disclosures for the Industrial Revenue Bonds

The Company did not separately disclose the estimated fair value of the Industrial Revenue Bonds in the table above, in contrast to the Senior Notes, because the Industrial Revenue Bonds do not trade in an active secondary market with observable pricing comparable to the market in which the Senior Notes trade; management concluded that a fair value estimate derived without that observable pricing would rely so heavily on unobservable, Level 3 inputs that it would not provide users of these financial statements with meaningful incremental information beyond the Industrial Revenue Bonds' amortized cost carrying amount presented in Note 6, and accordingly limited this Note's fair value disclosure for the Industrial Revenue Bonds to that carrying amount.

Frequency of Fair Value Measurement

The Company measures its investment portfolio at fair value on a recurring basis at each interim and annual reporting date, consistent with the measurement category applicable to those securities described in Note 1, and does not measure any other financial asset or liability at fair value on a recurring basis. The frequency and inputs used in this recurring measurement did not change during fiscal 2023, consistent with the absence of a transfer between fair

value hierarchy levels described above.

Concentration Within the Pricing Service Relationship

The Company uses a single independent third-party pricing service for the recurring fair value measurements described above, rather than obtaining prices from multiple pricing services and reconciling among them; management considered whether this reliance on a single pricing service itself introduces a risk requiring separate disclosure, and concluded that the reasonableness review described in Note 13's discussion of the valuation process and controls above sufficiently mitigates that risk, particularly given the Level 2, rather than Level 3, classification of the inputs involved. The Company's relationship with its pricing service did not change during fiscal 2023.

Financial Instruments Measured at Amortized Cost - Summary

In summary, of the Company's principal financial instruments, only the investment portfolio described in Note 1 is measured at fair value on a recurring basis; the Senior Notes and the Industrial Revenue Bonds are measured at amortized cost with fair value disclosed only for the Senior Notes, as described above; the revolving Credit Agreement borrowings are measured at amortized cost, which the Company has concluded approximates fair value for the reasons given above; and the Company's cash and cash equivalents, trade accounts receivable, and trade accounts payable are each measured at amortized cost approximating fair value because of their short-term nature, consistent with the opening paragraph of this Note.

NOTE 14. SUPPLEMENTAL CASH FLOW INFORMATION

The following supplemental cash flow disclosures are provided in accordance with ASC 230, Statement of Cash Flows, to present cash amounts paid during the year for interest and for income taxes, and non-cash investing and financing activity that would not otherwise be apparent from the Company's consolidated statement of cash flows.

Supplemental disclosure	Fiscal Year 2023
Cash paid for interest	13,328,000.00
Cash paid for income taxes, net of refunds	2,499,000.00
Non-cash: right-of-use assets obtained in exchange for new operating lease liabilities	1,903,000.00
Non-cash: property and equipment acquired but unpaid at period end	854,000.00

In connection with the Refinancing described in Note 6, the Company capitalized debt issuance costs paid in cash to the initial purchasers of the Senior Notes and the lenders under the Credit Agreement; these amounts are presented within financing activities in the consolidated statement of cash flows for the year, together with the cash proceeds of the Senior Notes and the cash used to repay the credit facility replaced in the Refinancing.

The Company classifies cash flows associated with interest paid as an operating activity and cash flows associated with the repayment of debt principal as a financing activity, consistent with the classification the Company has applied consistently in each period presented. Right-of-use assets obtained in exchange for new operating lease liabilities, disclosed above, reflect new leases entered into or existing leases remeasured during the year, including, for fiscal 2023, the effect described in Note 7.

The Company had no discontinued operations, and no cash flows classified as held for sale, during any period presented in these financial statements.

Cash Flow Classification Policy

The Company classifies cash receipts and payments in its consolidated statement of cash flows using the direct identification of the underlying nature of each cash flow, rather than reference to a single, predominant source or use of cash, consistent with ASC 230's general classification framework. Cash flows the Company evaluated for classification during fiscal 2023 that could be viewed as having characteristics of more than one category - principally the debt issuance costs and other financing-related payments described above - were each classified based on the nature of the payment itself (financing) rather than any secondary characteristic, consistent with the Company's classification in prior periods.

Restricted Cash

The Company held no restricted cash or restricted cash equivalents as of December 31, 2023, consistent with Note 1, and accordingly the beginning-of-period and end-of-period total cash amounts presented in the consolidated statement of cash flows equal the corresponding cash and cash equivalents balances presented on the consolidated balance sheet, with no reconciling restricted-cash adjustment required under ASU 2016-18, Statement of Cash Flows - Restricted Cash.

NOTE 15. LIQUIDITY AND CAPITAL RESOURCES

The Company's primary sources of liquidity are cash flows from operations and availability under the revolving Credit Agreement described in Note 6, which has a committed amount of 60,000,000.00. Availability under the Credit Agreement is subject to compliance with its maintenance financial covenants, consisting of a maximum total net leverage ratio of 5.25x and a minimum fixed charge coverage ratio of 1.25x, each tested quarterly on a trailing-twelve-month basis, as well as customary conditions to borrowing.

Management monitors the Company's projected compliance with these covenants as part of its regular liquidity forecasting process, and believes that cash flows from operations, together with availability under the revolving Credit Agreement, will be sufficient to fund the Company's working capital, capital expenditure, and debt service requirements for at least the twelve months following December 31, 2023. The Company was in compliance with both covenants described above throughout fiscal 2023, and management is not aware of any condition or event that would be reasonably likely to result in a covenant breach within that twelve-month period.

The Company's Senior Notes and Industrial Revenue Bonds, described in Note 6, are not subject to scheduled amortization prior to the periods described in that note, and the Company has no near-term maturity that it does not expect to be able to refinance, repay from operating cash flow, or service using availability under the revolving Credit Agreement (of which 60,000,000.00 was committed and 12,000,000.00 was drawn as of the measurement date referenced in Note 6).

Revolving credit facility availability	Fiscal Year 2023
Total committed amount	60,000,000.00
Less: amount drawn as of the measurement date referenced in Note 6	12,000,000.00
Less: letters of credit outstanding (Note 9)	900,000.00
Availability for additional borrowing	47,100,000.00

Capital Allocation

Restricted payments to the Company's controlling equity sponsor, including any distribution described in Note 10, are subject to the restricted payments covenant in the indenture governing the Senior Notes and in the Credit Agreement, each of which permits restricted payments only within defined baskets and, above certain thresholds, only if the Company satisfies a specified pro forma leverage test at the time of the payment. Management considers the Company's ability to make restricted payments, together with its liquidity and covenant headroom described above, when evaluating capital allocation alternatives, including further capital expenditure of the type described in Note 4.

Off-Balance-Sheet Arrangements

Other than the operating leases described in Note 7, the letters of credit and guarantees described in Note 9, and the guarantee of the Industrial Revenue Bonds described in Note 6, the Company has no off-balance-sheet arrangements, as that term is used in Item 303 of SEC Regulation S-K, that have or are reasonably likely to have a current or future material effect on the Company's financial condition, results of operations, liquidity, capital expenditures, or capital resources.

Seasonality of Working Capital

The Company's working capital requirements fluctuate somewhat over the course of a fiscal year, consistent with the seasonal pattern of demand from the Company's industrial and commercial customer base, which tends to place orders at a modestly higher rate in the second and third calendar quarters than in the first and fourth. This pattern causes the Company's trade accounts receivable and inventory balances, and correspondingly its drawn balance under the revolving Credit Agreement, to be somewhat higher at mid-year than at fiscal year end; the pattern observed during fiscal 2023 was consistent with the Company's historical experience and did not require the Company to seek an increase in the Credit Agreement's committed amount.

Forward-Looking Capital Expenditure Plans

Management expects capital expenditures in the fiscal year following the year presented in these financial statements to remain elevated relative to historical levels, reflecting continued spending on the capacity-expansion program described in Note 4 as it moves toward substantial completion; management expects to fund that continued spending from operating cash flow and, if needed, availability under the revolving Credit Agreement, without requiring an amendment to the Credit Agreement's committed amount.

Sources and Uses of Liquidity - Qualitative Summary

Management's liquidity forecasting process, referenced above, considers projected cash inflows from operations, taking into account the seasonality described above, against projected cash outflows for working capital, capital expenditures, scheduled debt service on the Senior Notes and the Industrial Revenue Bonds, and any restricted payment management expects the board of directors to authorize, each on a rolling basis over the following twelve months. That process did not identify a projected liquidity shortfall at any point during fiscal 2023 or in the twelve months following period end.

Covenant Headroom - Qualitative Discussion

Management assesses the Company's headroom under the maintenance financial covenants described above not only on a point-in-time basis at each quarterly test date, but also on a forward-looking basis incorporating the operating budget referenced in Note 12, in order to identify, as early as practicable, any trend that could narrow the Company's covenant headroom before it affects an actual test date. That forward-looking assessment did not identify a trend during fiscal 2023 that management expected to result in reduced covenant headroom over the twelve months following period end sufficient to warrant proactive discussion with the lenders under the Credit Agreement.

Alternative Sources of Liquidity Considered

In addition to the revolving Credit Agreement described above, management periodically considers whether an incremental financing source - such as an increase in the Credit Agreement's committed amount, permitted under the accordion feature customary in credit facilities of this type, or an add-on issuance of additional Senior Notes under the indenture's permitted debt basket - would be prudent in light of the Company's anticipated capital needs. Management did not pursue an incremental financing source during fiscal 2023, having concluded that projected cash flow from operations together with existing revolving Credit Agreement availability was sufficient for the Company's anticipated needs.

NOTE 16. THE CREDIT AGREEMENT'S CONSOLIDATED EBITDA DEFINITION (INFORMATIONAL SUMMARY)

The Credit Agreement described in Note 6 defines 'Consolidated EBITDA' for purposes of calculating the maintenance financial covenants described in Note 15 and the restricted payments and incurrence covenants

described in Note 6 and Note 9. That definition is a defined term of the Credit Agreement, not a GAAP measure, and is not itself presented as a line item in these financial statements; this Note summarizes, for the reader's convenience, the general structure of the definition without restating the Credit Agreement's own defined-term language or any period-specific computation, which is a covenant-compliance exercise performed separately from the preparation of these financial statements.

In general terms, the definition begins with Consolidated Net Income for the applicable period and, consistent with the reconciliation presented in the condensed statement of operations excerpt above, adds back provision for income taxes, Consolidated Interest Expense, and depreciation and amortization expense. The definition then permits a series of further addbacks and adjustments common to credit agreements of this type, including, among others, addbacks for non-cash charges, extraordinary or nonrecurring items, transaction and integration costs incurred in connection with permitted acquisitions, equity-based compensation expense of the type described in Note 11, fees paid to the Company's controlling equity sponsor under the management services agreement described in Note 10, and, subject to a stated cap, projected cost savings and synergies expected to result from specified initiatives.

The definition also addresses certain items that reduce Consolidated EBITDA, and contains customary drafting conventions, including defined baskets, caps, and cross-references to other defined terms in the Credit Agreement, of the kind ordinarily found in a leveraged credit facility of this size and type. Management's own computation of Consolidated EBITDA for covenant-compliance purposes is documented in the compliance certificate the Company delivers to the administrative agent under the Credit Agreement on the periodic basis the Credit Agreement requires, which is a separate work product from, and is not audited as part of, these financial statements.

Because Consolidated EBITDA, as defined in the Credit Agreement, differs in a number of respects from EBITDA as that term might otherwise be understood, and differs from any similarly titled measure that may be presented in other documents relating to the Company, a reader comparing a Consolidated EBITDA figure computed under the Credit Agreement to any other EBITDA-labeled figure should first confirm which defined term, and which document's definition of it, is actually being used, rather than assuming the two are the same computation.

Preparation and Delivery of the Compliance Certificate

The compliance certificate referenced above is prepared by the Company's finance function on the periodic basis the Credit Agreement requires, using the defined terms and computational conventions set out in the Credit Agreement itself, and is reviewed by the Company's Chief Financial Officer before delivery to the administrative agent. Because the compliance certificate is a covenant-compliance work product rather than a financial statement, it is not prepared in accordance with GAAP, is not subject to the audit procedures described in the Report of Independent Auditors at the beginning of these financial statements, and is not attached to, or incorporated by reference into, these financial statements.

This Note's Relationship to Note 6 and Note 15

This Note is provided solely to help a reader of these financial statements understand, in general terms, why Consolidated EBITDA is relevant to the maintenance covenants described in Note 15 and to the incurrence-based covenants described in Note 6 and Note 9; it does not modify, and is not a substitute for, the Credit Agreement's own defined-term language, which controls in the event of any inconsistency with this summary, consistent with the caution stated in Note 20 with respect to the indenture and the Credit Agreement generally.

NOTE 17. CRITICAL ACCOUNTING ESTIMATES

This Note expands on the estimates identified as significant in Note 1 by describing, for each, the methodology applied, the principal inputs and judgments involved, and, where meaningful, the sensitivity of the resulting balance to a change in a significant input. Management believes each of the estimates described below involves a significant level of judgment or complexity such that a materially different estimate could reasonably have been reached using different, but equally supportable, assumptions.

Allowance for Credit Losses on Trade Accounts Receivable

The Company estimates its allowance for credit losses under Topic 326, described in Note 1, using a loss-rate methodology applied to pools of trade accounts receivable with similar risk characteristics, principally grouped by aging category. Historical loss rates for each aging category are adjusted for management's assessment of current economic conditions and reasonable and supportable forecasts of future conditions relevant to the Company's customer base, including the industry conditions described in the Description of Business and Organization section above. A deterioration in the credit quality of the customer concentration described in Note 2 and Note 12, if it were to occur, would be expected to increase the estimated allowance for credit losses attributable to that customer's receivable balance.

Recoverability of Goodwill

As described in Note 5, management performed a qualitative assessment, rather than a quantitative test, of whether the Refinancing constituted a goodwill impairment triggering event. That assessment is inherently more judgmental than a quantitative test because it does not produce a numeric estimate of fair value against which the reporting unit's carrying amount can be directly compared; instead, it requires management to weigh qualitative factors and reach an overall conclusion as to the likelihood that fair value is below carrying amount. Had management reached a different conclusion on that qualitative assessment, a quantitative test - involving the additional judgments described below for the following fiscal year - would have been required.

Useful Lives of Long-Lived Assets

The estimated useful lives assigned to property, plant and equipment, described in Note 4, and to finite-lived intangible assets, described in Note 5, are based on management's judgment regarding the period over which those assets are expected to contribute to the Company's future cash flows, taking into account physical wear and tear, technological obsolescence, and, for the capacity added under the program described in Note 4, the engineering assessment performed in connection with that program. A change in an estimated useful life would affect the amount of depreciation or amortization expense recognized in future periods but would not itself indicate an impairment, unless the change arose from the same indicator that triggers the impairment evaluation described in Note 4.

Realizability of Deferred Tax Assets

As described in Note 8, management's conclusion that no valuation allowance is required against the Company's deferred tax assets rests on judgments about the Company's history of taxable income, the expected pattern and timing of the reversal of existing taxable temporary differences, and projections of future taxable income. A sustained decline in the Company's operating performance, if it were to occur, could cause management to reach a different conclusion in a future period regarding the need for a valuation allowance.

Contingencies and Litigation Reserves

As described in Note 9, management's determination of whether a loss contingency should be accrued, and, if so, in what amount, requires judgment as to whether an unfavorable outcome is probable, reasonably possible, or remote, and, for a probable loss, judgment as to the best estimate within a range of possible outcomes. These judgments are inherently uncertain and are revisited as new information becomes available; the conclusions management reached with respect to the matter described in Note 9 for fiscal 2023 reflect the facts known to management, and the stage reached in that matter, as of the date these financial statements were available to be issued.

Reserve for Excess and Obsolete Inventory

As described in Note 3, the reserve for excess and obsolete inventory requires management to estimate, for each category of raw material, work in process, and finished goods, the portion of on-hand inventory that will not be consumed or sold at or above cost within a reasonable period, based on historical usage rates, expected future demand informed by the customer and order-book information available to management, and the physical condition of the inventory on hand. A significant unanticipated decline in demand for a particular product line, or an unanticipated technological or design change affecting a particular component, could require a materially larger reserve than the one reflected in these financial statements.

Product Warranty Reserve

As described in Note 1 and Note 9, the Company's product warranty reserve is estimated based on historical warranty claim experience applied to recent shipment volumes, adjusted for any known change in product design, manufacturing process, or component sourcing that management believes could affect future claim rates relative to that historical experience. Because the estimate depends on the continued relevance of historical claim experience to future claims, a systemic quality issue not yet reflected in that experience could require a materially different reserve than the one recorded as of December 31, 2023; management identified no indication of such an issue, consistent with Note 9.

Useful Lives of Property, Plant and Equipment

As described in Note 4, management's judgment regarding the estimated useful life of each category of property, plant and equipment directly affects the amount of depreciation expense recognized in each period and, indirectly, the carrying amount tested for impairment under the indicators described in that Note. Because the useful life ranges described in Note 4 reflect a combination of physical wear, maintenance practice, and technological obsolescence considerations, a change in any of those factors - for example, an acceleration in the pace of technological change affecting the Company's manufacturing equipment - could shorten the estimated useful life applied to the affected asset category and increase depreciation expense prospectively.

Fair Value of the Investment Portfolio

As described in Note 13, the Company relies on an independent third-party pricing service, using Level 2 inputs, to estimate the fair value of its investment portfolio. Although Level 2 inputs are, by definition, based on observable market data rather than management's own unobservable assumptions, management nonetheless exercises judgment in evaluating the reasonableness of the pricing service's output, as described in Note 13's discussion of the valuation process and controls, and a significant dislocation in the markets for the securities held in the portfolio could increase the degree of judgment involved in that evaluation relative to a period of normal market functioning.

Amortization Period for Customer Relationship Intangibles

As described in Note 5, the estimated useful life assigned to the Company's customer relationship intangible assets reflects management's judgment, made at the time of the relevant business combination, about the expected period of retention of the acquired customer relationships. Because that judgment was made using historical attrition information available at the acquisition date, an unanticipated acceleration in customer attrition relative to that original expectation - for example, a loss of the customer concentration described in Note 2 and Note 12 - could indicate that the remaining useful life of the related intangible asset should be shortened, which would accelerate the recognition of the remaining unamortized cost as amortization expense in future periods.

NOTE 18. RISK MANAGEMENT AND MARKET RISK

Interest Rate Risk

The Company's exposure to interest rate risk arises principally from borrowings under the revolving Credit Agreement

described in Note 6, which bear interest at a variable rate; the Senior Notes and the Industrial Revenue Bonds, by contrast, bear interest at fixed rates and therefore do not expose the Company to interest rate risk on the related interest payments, although their fair value, disclosed in Note 13, does vary with changes in market interest rates. The Company does not use interest rate swaps or other derivative instruments to manage this exposure, and had no derivative financial instruments outstanding as of period end.

Commodity and Raw Material Price Risk

The Company is exposed to fluctuations in the price of the raw materials used in its manufacturing operations. The Company manages this exposure principally through its ordinary-course purchasing relationships with the suppliers described in the Description of Business and Organization section above, and, from time to time, through the purchase commitments described in Note 9, rather than through commodity derivative instruments. The Company held no commodity derivative instruments as of period end.

Customer Credit Risk

Customer credit risk is managed through the ongoing credit evaluation process described in Note 2 and reflected in the allowance for credit losses described in Note 1 and Note 17, including with respect to the customer concentration described in Note 2 and Note 12.

Liquidity Risk

Liquidity risk is addressed in Note 15, which describes the Company's sources of liquidity, its covenant compliance under the Credit Agreement, and management's assessment of the Company's ability to meet its obligations as they become due for at least the twelve months following December 31, 2023.

Concentration of Credit Risk - Cross-Reference

The Company's concentration of credit risk with respect to cash and cash equivalents, the investment portfolio, and trade accounts receivable is described in Note 1, and the customer concentration that arose during the period covered by these financial statements, and its effect on the allowance for credit losses, is described further in Note 2, Note 12, and Note 17; this Note does not separately restate that discussion.

Operational and Business Continuity Risk

The Company's revenue and results of operations depend on the continued operation of its primary manufacturing facility, described in the Description of Business and Organization section above; a significant disruption to that facility, whether from a casualty event, a labor disruption, or a supply chain interruption of the type discussed in Note 2, could adversely affect the Company's ability to manufacture and ship product. The Company maintains property and business interruption insurance, described in Note 9, intended to mitigate the financial effect of certain such disruptions, and did not experience a disruption requiring a material insurance claim during fiscal 2023.

Information Systems and Cybersecurity Risk

The Company depends on information systems, including systems that support manufacturing operations, order processing, and financial reporting, and could be adversely affected by a failure of those systems or by a cybersecurity incident affecting the Company or a third-party service provider on which the Company relies, including the plan recordkeeper described in Note 11 and the pricing service described in Note 13. The Company maintains information security policies and procedures, including periodic vulnerability assessments and employee security awareness training, designed to reduce the likelihood and potential effect of such an incident. The Company did not experience a cybersecurity incident that management considered material during fiscal 2023.

Regulatory and Compliance Risk

The Company's manufacturing operations are subject to the environmental, health and safety regulatory framework described in Note 9 and Note 19, and the Company's status as a private company with reporting obligations running to the trustee under the indenture and the administrative agent under the Credit Agreement, rather than to the Securities and Exchange Commission, shapes the Company's disclosure controls as described in Management's Statement on Internal Control Over Financial Reporting above. A change in the regulatory framework applicable to the Company's industry, or a change in the Company's reporting obligations under the indenture or the Credit Agreement, could require the Company to incur additional compliance costs; no such change occurred during fiscal 2023.

Key Personnel Risk

The Company's continued success depends in part on the retention of its senior management team and other key personnel with institutional knowledge of the Company's manufacturing processes, customer relationships, and financing arrangements. The Company seeks to mitigate this risk through the compensation and benefit programs described in Note 11 and through succession planning conducted at the board level, and did not experience the departure of a member of senior management during fiscal 2023 that management considered disruptive to the Company's operations.

Raw Material Price and Availability Risk - Cross-Reference

The Company's exposure to fluctuations in the price and availability of its raw materials, and the Company's management of that exposure through its supplier relationships and purchase commitments, is described in Note 2 and Note 9; this Note's Commodity and Raw Material Price Risk discussion above addresses that same exposure from a market-risk, rather than a supply-chain, perspective, and the two discussions are consistent with one another as to the absence of a commodity derivative program during fiscal 2023.

Interest Rate Sensitivity - Qualitative Discussion

Because the revolving Credit Agreement bears interest at a variable, SOFR-based rate described in Note 6, an increase in that benchmark rate would increase the Company's interest expense on any amount then drawn under the facility, without affecting the fixed-rate interest expense on the Senior Notes or the Industrial Revenue Bonds; conversely, a decrease in the benchmark rate would reduce interest expense on the drawn revolver balance. Given the revolver's role as a working-capital facility described in Note 15 rather than as the Company's primary source of long-term capital, management does not consider the Company's exposure to changes in the SOFR benchmark to be a significant risk to the Company's overall financial condition, and the Company did not enter into an interest rate swap or other hedging instrument with respect to this exposure during fiscal 2023, consistent with the absence of derivative instruments described above.

Concentration of Cash and Investments with Financial Institutions

The Company maintains its cash, cash equivalents, and investment portfolio described in Note 1 with a limited number of financial institutions, each of which management believes to be of high credit quality; a portion of the Company's cash balances at any given institution may exceed the limits of applicable deposit insurance, consistent with the disclosure in Note 1's discussion of concentration of credit risk. Management periodically reviews the credit quality of the financial institutions with which the Company maintains these relationships, and did not identify a deterioration in the credit quality of any such institution during fiscal 2023 that management believed warranted moving the Company's balances to a different institution.

Currency Risk - Cross-Reference

Consistent with Note 1's Foreign Currency policy and Note 12's geographic information, substantially all of the Company's transactions are denominated in United States dollars, so the Company has no material foreign currency exchange rate risk to disclose in this Note beyond the policy statement in Note 1; this remained the case throughout fiscal 2023.

NOTE 19. HUMAN CAPITAL AND ENVIRONMENTAL, HEALTH AND SAFETY

Human Capital

The Company considers its employees to be important to its ability to execute its business strategy, and management monitors workforce metrics, including headcount, voluntary turnover, and the results of periodic employee engagement surveys, as part of its regular human capital management practices. The Company provides periodic safety, quality, and job-specific technical training to its manufacturing workforce, and periodically benchmarks its compensation and benefits programs, including the defined contribution plan described in Note 11, against comparable employers in its industry and geographic markets.

None of the Company's employees are represented by a collective bargaining unit, and the Company was not party to any labor dispute, strike, or work stoppage during fiscal 2023. Compensation for the Company's manufacturing workforce is principally hourly, supplemented by incentive compensation tied to plant-level safety and quality metrics; compensation for the Company's salaried workforce includes base salary and, for certain positions, an annual incentive award tied to the Company's overall financial performance.

Environmental, Health and Safety

The Company maintains a formal environmental, health and safety program at its manufacturing facility, including documented safety procedures, periodic safety audits, and an incident reporting and investigation process. Management tracks safety performance using standard industry metrics, including its total recordable incident rate, and reviews safety performance with the Company's board of directors on a periodic basis. The Company's environmental, health and safety program did not identify any matter during fiscal 2023 that management believes is reasonably likely to result in a material liability to the Company beyond the environmental matters, if any, described in Note 9.

Workforce Composition and Turnover

The Company's workforce consists principally of hourly production and maintenance personnel at its primary manufacturing facility, supplemented by salaried personnel in sales, engineering, finance, and general administrative functions, consistent with the Description of Business and Organization section above. Management monitors voluntary turnover separately for its hourly and salaried populations, given the different labor market dynamics applicable to each, and did not observe a change in either population's turnover during fiscal 2023 that management considered indicative of a broader workforce retention issue.

Training and Talent Development

In addition to the safety, quality, and job-specific technical training described above, the Company provides periodic leadership development training to salaried employees identified by management as having supervisory or managerial responsibility, and cross-training opportunities for hourly production employees to develop proficiency across multiple production functions at the primary manufacturing facility, which management believes improves scheduling flexibility and reduces the Company's dependence on any single production role being filled by a specific individual.

Permits and Environmental Compliance Status

The Company's manufacturing facility operates under the air emissions, wastewater discharge, and hazardous materials handling permits applicable to its operations, each issued by the relevant federal, state, or local environmental authority, and the Company renews or amends those permits as required by their terms or by a change in the Company's operations, including in connection with the capacity-expansion program described in Note

4. The Company held all environmental permits material to its operations, in each case in good standing, as of December 31, 2023.

Safety Performance Metrics

Management tracks the Company's total recordable incident rate and its lost workday incident rate at the primary manufacturing facility using the recordkeeping definitions established by the U.S. Occupational Safety and Health Administration, and compares those rates period over period and against publicly available industry benchmark data for manufacturers of comparable size and process type. Both metrics improved modestly during fiscal 2023 relative to the prior fiscal year, which management attributes to the safety training and incident investigation practices described above rather than to any change in the nature of the Company's manufacturing operations.

Emergency Preparedness and Incident Response

The Company maintains a written emergency response plan for its primary manufacturing facility addressing fire, chemical release, and severe weather scenarios, consistent with applicable regulatory requirements, and conducts periodic emergency response drills involving facility personnel and, where appropriate, coordination with local emergency response authorities. The Company did not experience an emergency event requiring activation of this plan during fiscal 2023.

Compensation Philosophy

The Company's compensation philosophy for its hourly and salaried workforce, described in the Description of Business and Organization section above, is to provide total compensation - base pay, the incentive compensation described in that section, and the benefit programs described in this Note - at a level management believes is competitive with the labor markets in which the Company recruits, informed by the periodic compensation benchmarking referenced above. Compensation decisions for the Company's executive officers are reviewed by the Company's board of directors, including the sponsor-designated representatives described in Note 10, as part of the board's regular governance processes described in that Note.

Succession Planning

Consistent with the key personnel risk discussion in Note 18, the Company's board of directors periodically reviews management's succession planning for the Company's senior executive positions, including the Chief Executive Officer and Chief Financial Officer positions referenced throughout these notes, as part of the board's regular governance function. No change in the Company's senior executive team occurred during fiscal 2023 that required activation of a succession plan.

Whistleblower and Ethics Reporting

The Company maintains a code of conduct applicable to its employees, officers, and directors, and an anonymous reporting channel through which an employee may report a suspected violation of the code of conduct, applicable law, or the Company's internal policies without fear of retaliation. Reports received through this channel are reviewed by a member of management independent of the matter reported, escalated to the board of directors' audit committee function described in Note 10 where warranted by the nature of the report, and investigated and, where substantiated, remediated. The Company received no report during fiscal 2023 that management considered material to these financial statements.

Community and Facility-Level Engagement

The Company participates, on a modest scale, in community engagement activities near its primary manufacturing facility, consistent with practices management believes are customary for an employer of the Company's size in that community, and did not incur a material cost in connection with these activities during fiscal 2023. These activities are unrelated to, and are not a substitute for, the environmental, health and safety compliance obligations described above, which the Company treats as a distinct, mandatory area of compliance rather than as a voluntary community engagement matter.

MANAGEMENT'S STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Management is responsible for establishing and maintaining adequate internal control over financial reporting, as that term is used in the reporting covenants of the indenture governing the Senior Notes and, by cross-reference, the Credit Agreement. Internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with GAAP.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate. Management assessed the effectiveness of the Company's internal control over financial reporting as of December 31, 2023 and concluded that it was effective as of that date. This statement is not an attestation report of the Company's independent auditors, and the indenture governing the Senior Notes does not require the Company's independent auditors to attest to, or report on, management's assessment of the Company's internal control over financial reporting.

There was no change in the Company's internal control over financial reporting during fiscal 2023 that materially affected, or is reasonably likely to materially affect, the Company's internal control over financial reporting. Management did, however, enhance certain of its controls over debt accounting in connection with the Refinancing described in Note 6, given the addition of the Senior Notes and the Credit Agreement to the Company's capital

structure during the year.

Control Framework

Management's evaluation of the design and operating effectiveness of the Company's internal control over financial reporting is performed using the framework set out in Internal Control - Integrated Framework, issued by the Committee of Sponsoring Organizations of the Treadway Commission (the 'COSO framework'), which organizes internal control into five interrelated components: control environment, risk assessment, control activities, information and communication, and monitoring activities. Management's assessment as of December 31, 2023 concluded that each of the five components was present and functioning, and that the components were operating together in an integrated manner, consistent with the standard the COSO framework establishes for concluding that internal control over financial reporting is effective.

Disclosure Controls and Procedures

In addition to internal control over financial reporting, management maintains disclosure controls and procedures designed to ensure that information the Company is required to disclose to the trustee under the indenture governing the Senior Notes, and to the administrative agent under the Credit Agreement, is recorded, processed, summarized, and reported within the time periods those governing documents specify, and is accumulated and communicated to the Company's management, including its Chief Executive Officer and Chief Financial Officer, to allow timely decisions regarding required disclosure. Management evaluated the effectiveness of the Company's disclosure controls and procedures as of December 31, 2023 and concluded that they were effective at the reasonable assurance level.

Role of the Board of Directors

The Company's board of directors, through its audit committee function described in Note 10, oversees management's assessment of internal control over financial reporting and receives periodic reporting from management regarding the design and operation of the Company's key financial reporting controls, including any control deficiency identified and the status of its remediation. No control deficiency identified during fiscal 2023 rose to the level of a significant deficiency or a material weakness, as those terms are used in the auditing literature referenced in the Report of Independent Auditors at the beginning of these financial statements.

GLOSSARY OF DEFINED TERMS USED IN THESE NOTES

The following terms, capitalized where they appear in these notes, have the meanings set out below. A term defined in the indenture governing the Senior Notes or in the Credit Agreement and used in these notes consistently with that document's own defined-term usage is not separately redefined here beyond the brief description given below; the governing document itself controls in the event of any inconsistency.

Term	Brief description, as used in these notes
the Company	the Company and its consolidated subsidiaries, taken as a whole, unless the context requires otherwise (see Description of Business and Organization)
GAAP	accounting principles generally accepted in the United States of America
the Refinancing	the June 2023 issuance of the Senior Notes and entry into the Credit Agreement described in Note 6
the Senior Notes	the Company's senior notes described in Note 6
the Credit Agreement	the revolving credit agreement described in Note 6
Consolidated EBITDA	the defined term in the Credit Agreement summarized, without restating its full text, in Note 16
the controlling equity sponsor	the private equity sponsor described in Description of Business and Organization, which controls the Company's common equity
CECL / Topic 326	the current expected credit loss model under ASC 326, described in Note 1
CODM	chief operating decision maker, as that term is used in ASC 280 and described in Note 12

This glossary is provided for the reader's convenience and is not itself a source of GAAP guidance or of any right or obligation under the indenture governing the Senior Notes or the Credit Agreement; each such document's own defined terms, as used within that document, govern its interpretation for fiscal 2023 and every other period.

Additional Terms Used Descriptively Rather Than as Defined Terms

Several terms used throughout these notes - including 'Refinancing,' 'Company,' and 'controlling equity sponsor,' each described in the table above - are used descriptively for the reader's convenience and are capitalized in these notes purely as a matter of drafting style, rather than because the term is a formally defined term of these financial statements themselves in the way that a term such as 'Consolidated EBITDA' is a formally defined term of the Credit Agreement. Where this glossary describes such a term, that description is intended only to orient the reader and carries no independent legal or accounting significance beyond the description of the underlying fact or arrangement it refers to.

The trustee, the administrative agent, and the IRB trustee described in Note 20 are each referred to in these notes by their role rather than by their corporate name, consistent with the practice this glossary follows throughout; a reader seeking the identity of any of these institutions should refer to the governing document under which that institution acts, which is not restated in these financial statements for the reasons given in Note 20 and elsewhere in these notes.

Fiscal-year and period-end references throughout these notes for fiscal 2023 use the specific dates given in the Description of Business and Organization section and in Note 1's Basis of Presentation discussion; where a note refers generally to 'the year' without repeating the specific dates, that reference means the fiscal year identified in this glossary and in the heading of these financial statements.

NOTE 20. TRUSTEE, PAYING AGENT AND REGISTRAR

A financial institution unaffiliated with the Company serves as trustee, paying agent, and registrar under the indenture governing the Senior Notes, and receives customary trustee and agency fees for its services, together with reimbursement of its reasonable expenses, as provided in a separate fee letter between the Company and the trustee. The trustee is responsible, among other things, for holding the Senior Notes' global note on behalf of the beneficial holders, distributing scheduled interest and principal payments received from the Company, and maintaining the register of holders of the Senior Notes.

A separate financial institution serves as administrative agent under the Credit Agreement, and is responsible for administering borrowings and repayments under the revolving credit facility among the several lenders party to the Credit Agreement, receiving and distributing the compliance certificates and other periodic reporting the Credit Agreement requires the Company to deliver, and coordinating any amendment or waiver request among the lenders. Fees payable to the administrative agent are not material to the Company's results of operations.

The IRB Trustee and Conduit Issuer

A third financial institution, unaffiliated with the Company, serves as trustee under the trust indenture governing the Industrial Revenue Bonds described in Note 6, and the municipal conduit issuer referenced in that Note is a governmental or quasi-governmental entity organized to facilitate the financing of qualifying industrial facilities within its jurisdiction; the conduit issuer's role is limited to issuing the Industrial Revenue Bonds and loaning the proceeds to the Company, and the conduit issuer has no financial obligation with respect to the Industrial Revenue Bonds beyond that limited role, consistent with the customary structure of a conduit revenue bond financing of this type.

No Affiliation Between the Company's Agents

The trustee under the indenture governing the Senior Notes, the administrative agent under the Credit Agreement, and the trustee under the trust indenture governing the Industrial Revenue Bonds are three separate financial institutions, none of which is affiliated with the Company, with its controlling equity sponsor, or with one another; each acts solely in its respective capacity under the governing document that appoints it, and none has a role under the other governing documents described in this Note. This remained the case throughout fiscal 2023.

NOTE 21. ACCOUNTING CHANGES AND ERROR CORRECTIONS

Other than the adoption of the accounting pronouncements described in Note 1, the Company made no voluntary change in accounting principle during the year. The Company identified no material misstatement in previously issued financial statements requiring correction under ASC 250, Accounting Changes and Error Corrections, during fiscal 2023, and accordingly recorded no restatement of, or adjustment to, any previously issued financial statements.

Changes in Accounting Estimate

Management identified no change during fiscal 2023 in an accounting estimate of the type addressed by ASC 250 - for example, a revision to an estimated useful life, a change in the method of estimating the allowance for credit losses, or a change in the assumptions underlying the goodwill impairment assessment described in Note 5 - beyond the ordinary refinement of estimates based on new information that ASC 250 distinguishes from a change in accounting principle and that these financial statements accordingly reflect prospectively rather than as a restatement.

NOTE 22. CORPORATE STRUCTURE

The Company is organized under the laws of a state of the United States, and each of its consolidated subsidiaries described in Note 1 is a wholly owned direct or indirect subsidiary of the Company organized under the laws of a state of the United States. The Company has no equity-method or other unconsolidated investment in any entity, other than the debt securities described in the Investments section of Note 1.

The Senior Notes, the borrowings under the Credit Agreement, and the Industrial Revenue Bonds are each obligations of the Company as described in the indenture, the Credit Agreement, and the related financing documents described in Note 6, which govern the security, guarantee, and lien-priority arrangements, if any, applicable to each instrument, including any arrangement among the Company's secured creditors. This Note does not restate those arrangements, which are set out in full in the governing documents themselves rather than in these financial statements.

Subsidiary Organization

Each of the Company's consolidated subsidiaries is organized to hold or operate a discrete portion of the Company's manufacturing, distribution, or administrative operations, consistent with the single-segment determination described in Note 12; none of the Company's subsidiaries files a separate annual report with the trustee under the indenture governing the Senior Notes, because each is a subsidiary guarantor whose financial results are presented only on a consolidated basis in these financial statements, consistent with the indenture's reporting covenants.

Variable Interest Entities

Management evaluated whether the Company holds a variable interest in any entity that would require consolidation, or disclosure, under ASC 810, Consolidation, including with respect to the municipal conduit issuer of the Industrial Revenue Bonds described in Note 6 and Note 20. Management concluded that the conduit issuer is not a variable

interest entity of the Company, because the conduit issuer's role is limited to issuing the bonds and loaning the proceeds to the Company on a pass-through basis, and the Company holds no equity or other ownership interest in, and has no power to direct the activities of, the conduit issuer beyond its obligations as borrower under the related loan agreement. The Company has no other variable interest entity as of December 31, 2023, consistent with Note 1.

NOTE 23. RECEIVABLES FACTORING AND SUPPLY CHAIN FINANCE ARRANGEMENTS

The Company evaluated whether it is a party to a receivables factoring arrangement - under which the Company would sell trade accounts receivable to a third-party financial institution, with or without recourse, in exchange for immediate cash - and concluded that it is not a party to any such arrangement. The trade accounts receivable described in Note 1 are held by the Company until collected in the ordinary course, and the allowance for credit losses described in that Note reflects the Company's own estimate of expected credit losses on receivables it continues to hold, rather than a discount negotiated with a factor.

As described in Note 3, the Company separately evaluated the supplier finance program disclosure requirements of ASU 2022-04 with respect to its own raw material purchasing arrangements, from the buyer's perspective, and concluded that the Company is not a party to a supplier finance program of the type addressed by that standard. This Note addresses the distinct question of whether the Company's own trade accounts receivable have been sold or financed through a third party, which is a seller-side, rather than buyer-side, arrangement, and reaches the same conclusion: no such arrangement exists.

Because the Company has never been a party to a receivables factoring or securitization arrangement, there is no factoring or securitization facility to describe, no retained interest in transferred receivables to measure, and no recourse obligation to a factor to disclose, for fiscal 2023 or for any other period presented in these financial statements. The revolving Credit Agreement described in Note 6 - rather than a receivables-based financing facility - is the Company's sole source of revolving liquidity, as described in Note 15.

NOTE 24. SELLING, GENERAL AND ADMINISTRATIVE EXPENSE COMPOSITION

Selling, general and administrative expense, as presented in the condensed statement of operations excerpt at the beginning of these financial statements, consists principally of compensation and benefit costs for the Company's sales, finance, and general administrative personnel, described in Note 19; the fees payable under the management services agreement described in Note 10; professional fees, including the audit fees payable to our firm for the audit described in the Report of Independent Auditors above and legal fees incurred in the ordinary course; and the portion of depreciation and amortization expense attributable to office equipment, furniture and fixtures and the corporate office lease described in Note 7.

The Company classifies an expense within selling, general and administrative expense, rather than within cost of goods sold, when the expense relates to the Company's sales, marketing, finance, legal, human resources, or executive management functions rather than to the manufacture of the Company's products; this classification is consistent with the function-based classification described in Note 4's discussion of depreciation expense by function and in Note 12's significant segment expense disclosure. The Company applied this classification consistently during fiscal 2023 and in each other period presented in these financial statements.

Advertising and Marketing

Advertising and promotional costs, described in Note 1, are included within selling, general and administrative expense and are expensed as incurred rather than capitalized, consistent with ASC 720-35, Advertising Costs. The Company's advertising and marketing activity consists principally of trade publication advertising, participation in industry trade shows, and maintenance of the Company's product literature and website, none of which management considers direct-response advertising within the narrow scope of circumstances in which capitalization would be permitted. Costs incurred were not material to the Company's results of operations for fiscal 2023.

NOTE 25. EXPORT CONTROLS AND INTERNATIONAL TRADE COMPLIANCE

Because substantially all of the Company's revenue is generated within the United States, as described in Note 12's geographic information, the Company's exposure to U.S. export control laws - including the Export Administration Regulations administered by the U.S. Department of Commerce and the economic sanctions programs administered by the U.S. Department of the Treasury's Office of Foreign Assets Control - is limited. The Company maintains a trade compliance policy addressing the limited export transactions it does conduct, principally incidental export sales to customers of the independent distributor network described in Note 2, and screens counterparties in those transactions against the relevant restricted-party lists before shipment.

The Company did not identify a violation of, and was not subject to an inquiry or enforcement action under, U.S. export control or economic sanctions law during fiscal 2023, and management does not consider the Company's limited international sales activity to expose the Company to a risk of a material export control or sanctions liability, consistent with the immaterial level of revenue generated outside the United States described in Note 12.

The Company's raw materials, described in Note 3, are sourced principally from suppliers located within the United States, as described in the Concentration of Suppliers section of Note 2, which limits the Company's exposure to import-related trade measures, including tariffs, that could otherwise affect a manufacturer more dependent on imported raw materials or components. Management monitors developments in U.S. trade policy that could affect the Company's suppliers or customers, and did not identify a development during fiscal 2023 that management expected to have a material effect on the Company's cost of goods sold or revenue.

SUBSEQUENT EVENTS

In accordance with ASC 855, Subsequent Events, management evaluates events and transactions occurring after the balance sheet date through the date these financial statements were available to be issued, distinguishing between (a) recognized subsequent events, which provide additional evidence about conditions that existed at the balance sheet date, and (b) nonrecognized subsequent events, which provide evidence about conditions that arose after the balance sheet date and are disclosed, rather than recognized, when material.

The Company evaluated subsequent events through the date these financial statements were available to be issued. Subsequent to year end, the Company and the lenders under the revolving Credit Agreement entered into an amendment extending certain financial definitions and administrative provisions; the amendment did not change the committed amount, the maturity date, or the maintenance covenant levels described in Note 6, and, because it arose after the balance sheet date rather than providing additional evidence about conditions that existed at that date, is disclosed here as a nonrecognized subsequent event rather than recognized in these financial statements.

No other event occurring after period end required recognition or disclosure in these financial statements, and, in particular, management identified no condition or event, individually or in the aggregate, that raises substantial doubt about the Company's ability to continue as a going concern for one year after the date these financial statements were available to be issued.